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IIM Ahmedabad Consult Prep Caselet

2024-2025

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Introducing the IIM Ahmedabad Consult Prep Caselet

Consult Club, IIM Ahmedabad is proud to present the third edition of the Consult Prep Caselet, an add-on to our Consult Prep Book for aiding case preparation for consult enthusiasts.

The document is a careful curation of real interview experiences of candidates with leading consulting firms. These interview experiences are collected, analyzed, sanitized, and then bolstered using relevant frameworks.

The biggest-ever 3rd edition of the Consult Prep Caselet consists of **20 cases** across **6 key case types**, covering **10+** industries. We hope, just like the Consult Prep Book, this Caselet document will help thousands of users develop and strengthen their case solving skills.

We're making this document available in the public domain with a goal to aid consulting aspirants, irrespective of campuses and levels of information access, step closer to their professional goals. We sincerely hope this document provides you with what you need to ace your consulting interviews! We hope that we've been able to help you in doing so and wish you the best in your journey to realize your dreams!

Lastly, a huge shout-out to the Consult Club team of IIM Ahmedabad for working incredibly hard to deliver this Caselet!

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IIM Ahmedabad Consult Prep Caselet

We are grateful to all the people that have helped by sharing their cases and interview experiences, which has enabled us to put together a comprehensive preparation resource for the current and future batches.

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Table of Contents

IIMA

विद्याविनियोगाद्विकासः

IIM AHMEDABAD
CONSULT
CLUB

Profitability cases

Sugar Mill – Interview transcript

Your client is a sugar mill owner. They are facing decline in profitability. Find out why.

I would like to ask a few preliminary questions to know more about the company and the business. What exactly does the company do and what geography does it operate in?

It buys sugarcane from the suppliers and then processes it to manufacture sugar, jaggery etc.. The company is based in Uttar Pradesh.

Do they also provide molasses as raw material to spirit companies, or do they have any other source of revenue?

That's a great question but let's ignore those for this case.

Alright. I'd also like to ask if it is an industry wide phenomenon or limited to our company.

The decline in profits is unique to our client, while others have increased their profitability.

I think I have all the basic information I need. I can get started with analysis.

Sure, go ahead.

Low profitability can be due to either lower revenue or higher costs, or a combination of both. Since the competitors are not facing similar issues, can I assume that prices have remained the same? Also, do we know if the volume has gone down or product mix has changed?

Yes, you are right. There hasn't been any change in volume or product mix.

Understood. That means costs are on the higher side. I can do a value chain analysis to determine which drivers are driving the costs up.

Sure, go ahead.

The components that I would like to analyze are as follows: Raw Material Procurement, Processing, Storage & Transportation, Distribution and finally After-Sales/Marketing. Should I look into something more as well?

It seems fine.

Next, I would like to understand which component contributes to the maximum deviation in costs compared to our competitors.

You may proceed with processing costs. There are no other cost heads where the client is facing a problem.

Okay, The possible sub-heads to analyze processing costs would be rent, power expense, machinery, technology, labour hours and wages, packaging, and efficiency (defects). Do we know which costs are higher with respect to our competitors?

We know that the client is using more electricity for its power requirements. Can you find out why that might be the case?

Electricity expense can be divided into two parts: Average price per unit times the number of units consumed. Do we know if either has changed for the client?

There has not been changes any in electricity rates.

Since the volume has not increased, the efficiency must have gone down. We are using more electricity to produce the same quantity.

Yes, you are right. The machines are old and thus become inefficient. We also observed that other players use bagasse, a by-product of production, to satisfy their power needs. Please provide some suggestions to the client.

Sure. They can reduce electricity costs by moving to alternate power sources or increasing the efficiency of machines. They can go for replacement or upgrade/servicing of the machines. They can also plan to take advantage of the government's solar power scheme and install solar panels in the mill. Regarding the use of bagasse, they should first compare the savings in power and revenue generated to the paper or packaging industry before making provisions for using it for power generation.

Thank you for your analysis. You did a good job.

Sugar Mill

Your client is a sugar mill owner. They are facing decline in profitability. Find out why.

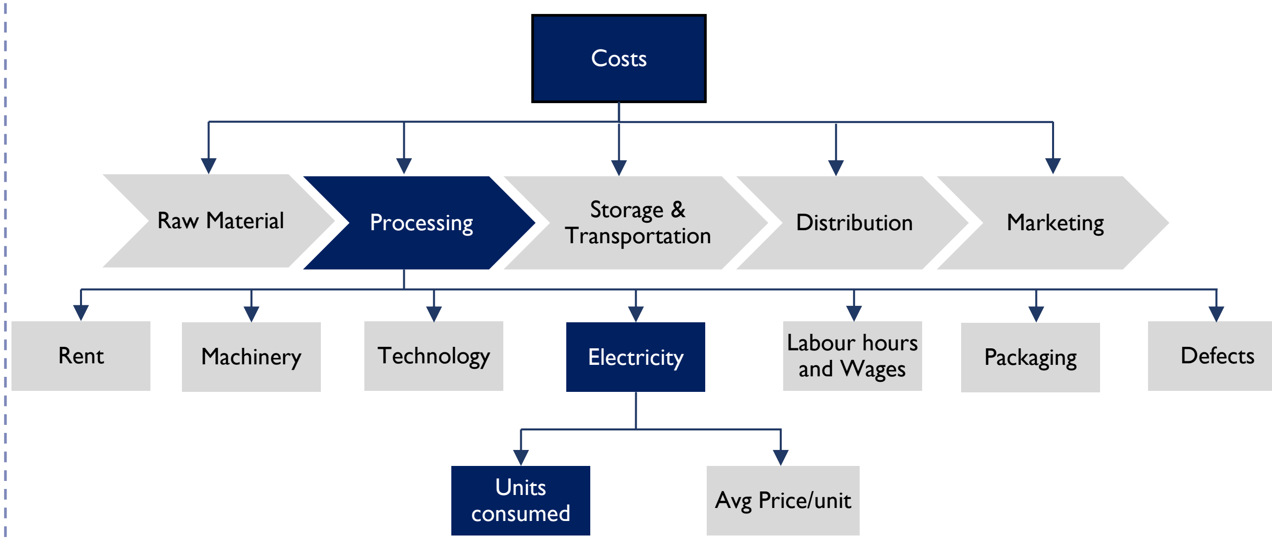
Interviewee Notes

- Qualitative case, no numbers provided
- A single cost head case where one issue needs to be identified
- The cost problem is identified to be in electricity
- The machines have got old and thus efficiency has reduced

Case Facts

- Client is a sugar mill owner with products like sugar, jaggery etc.
- It is facing higher costs compared to its competitors
- The processing cost header is creating a major difference
- They are not using bagasse which its competitors are using

Approach/ Framework



Recommendations

- Candidate should give a combination of short term and long-term recommendations.
- In the short term, the client can look for minor upgrades or servicing of the equipment and use bagasse as suited.
- In the longer run, the client should aim to replace the equipment and use solar power/ alternate sources.

Observations / Suggestions

- This is a cost reduction case where the interviewee should quickly establish the major cost buckets after discussing with the interviewer. The candidate can either probe each bucket along the value chain, or ask the interview which buckets to look into.
- Each cost component should be broken down into multiple cost levers to ensure that nothing is being missed out.
- When analyzing a specific cost bucket, look into its components in decreasing order of their magnitude.

Dessert Manufacturer – Interview Transcript

Your client is a manufacturer of Western desserts. It is facing a decline in profits since the past 6-9 months and wants your help in understanding why.

I would like to know more about the client. Where does it operate? Does it have online or offline presence? And how is it positioned in the market?

The client operates pan-India with both online and offline presence. They are among the top five brands in the country in Western desserts. The operations are limited to Metro and Tier I cities, manufacturing through central kitchens, and selling through their own stores and online channels.

So, the client has a strong presence but operates only in major urban areas and controls its value chain from manufacturing to retailing. Is the profit decline observed by just our client or the industry as a whole?

The competitors are also facing a similar profit decline.

Alright, I would like to start by considering profits as revenue minus costs. Have either of the two changed in the same duration?

Well, revenues have decreased and costs have increased. Costs are the primary driver.

Alright, I would like to first evaluate the costs in terms of value chain for our client. Apart from overheads, value chain would include costs associated with desert development, procurement, production, storage, transportation, and distribution through stores and online channels. Marketing, SG&A and Customer Experience costs are other potential heads. Do we know if any of these costs have increased?

The increase is most notable in procurement costs.

Got it! Procurement costs can be associated with either the cost of raw materials itself, or with inbound logistics. Have either of the two increased?

The rise is primarily due to raw materials. Specifically, the cost of cocoa has seen a significant increase.

Interesting. The increase in cocoa costs can be due to an increase in unit prices, increased volume usage, or both.

You are right, there is a 3x increase in cocoa prices. This is attributed to a global cocoa supply crunch caused by a poor harvest in South America. Can we now take a look at the declining revenue front?

Sure. Revenues equal product price times volume-sales controlled for the product mix. Do we know if there has been any major change to either of these?

The revenue decline is not specific to a single product. The client has increased prices by 5%, but demand is fairly price inelastic. Volume has declined.

Got it. The volume decline can be caused by either decline in number of customers, average order size per customer and number of purchases by a customer over a period. Has there been any decline in these factors?

Yes, purchase frequency have declined in the last 6-9 months. Can you think of some factors leading to this?

I would like to classify potential factors into internal and external. Internal factors could be Obsolescence, Quality and Affordability of client's products. External factors include substitutes and complements.

You're spot on. There has been a change in Quality of Products being offered as the manufacturer has altered the recipe to reduce cocoa usage, which has affected the taste of the products, and in turn caused reduced customer interest.

Understood. I believe there would be cost implications to this as well, as more effort needs to be invested in development of new products

Interesting, can you now think of some ways to address the client's challenges, both of managing cocoa price volatility and addressing customer dissatisfaction due to recipe

In order to manage cocoa price volatility, I would first recommend diversifying Supplier Base and explore sourcing cocoa from regions unaffected by the South American supply. I would also recommend exploring long-term contracts with suppliers to lock in prices and mitigate future volatility. Alternative Ingredients can also be tried, which would accelerate the development of recipes using cocoa substitutes while maintaining flavour and quality.

Interesting suggestions. What do you think about addressing the customer dissatisfaction due to recipe change?

Conducting surveys or focus groups to understand customer preferences and gauge reaction to new recipes would be recommended. Creating new cocoa-rich products as a premium offering to cater to loyal customers willing to pay higher prices is another way to deal with the dilemma. Marketing campaigns could also be run to emphasize the brand's commitment to quality and innovation to rebuild trust.

Can you think of some risks associated with your suggestions?

With respect to recipe development, new recipes may fail to meet customer expectations, leading to further dissatisfaction. Also, long development cycles could delay implementation, prolonging revenue challenges. On the sourcing risks, sourcing cocoa from diverse regions could lead to variability in product quality, transitioning suppliers might strain existing partnerships or incur penalties.

Alright, we can close the case. Thank you!

Dessert Manufacturer

Your client is a manufacturer of Western desserts. It is facing a decline in profits since the past 6-9 months and wants your help in understanding why.

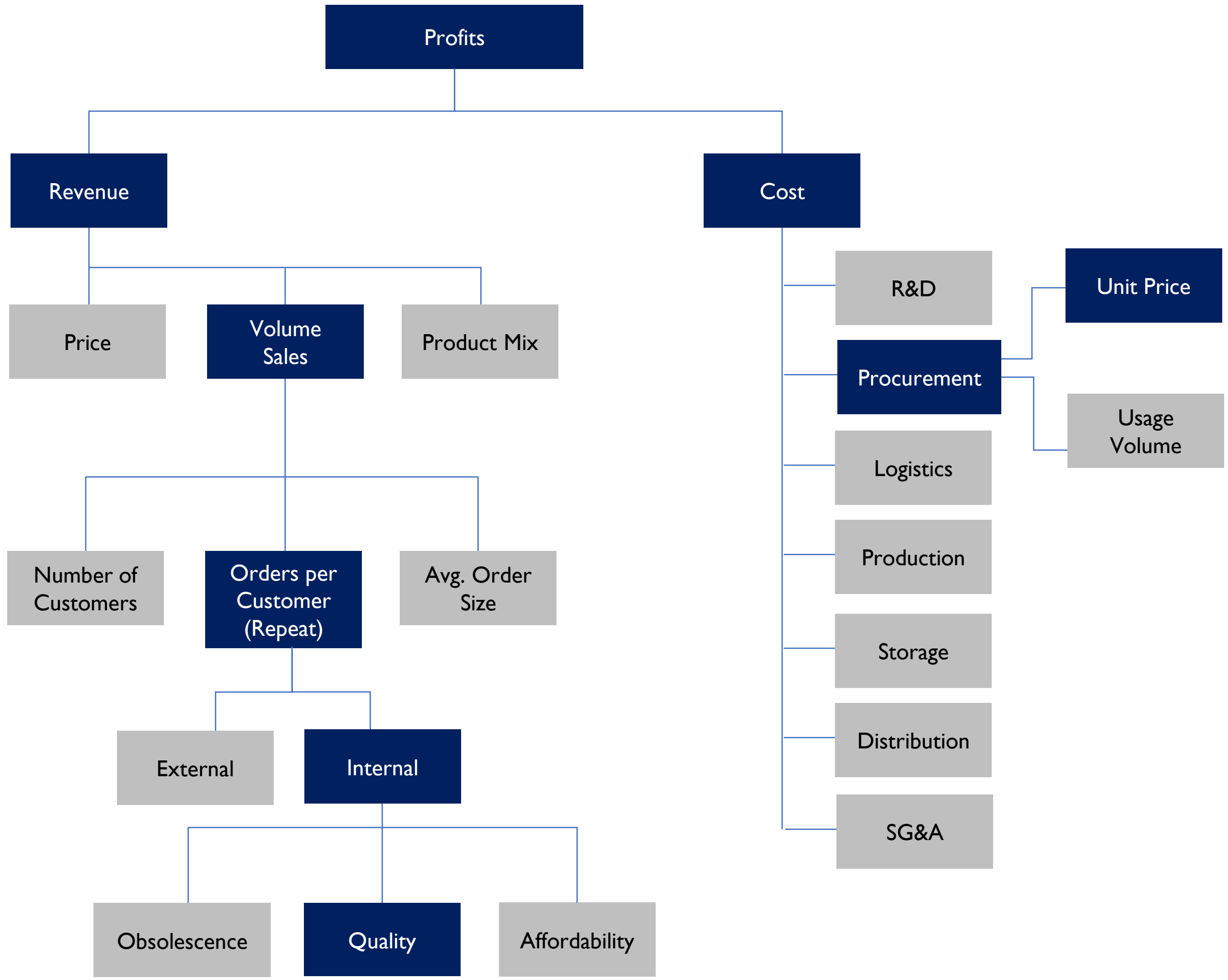
Interviewee Notes

- Revenues declined, costs increased
- Costs are the major driver
- Procurement costs increased → Raw Material costs increased → Cocoa Prices increased
- Volume sales declined → Internal Factors → Quality → Less cocoa in products

Case Facts

- Decline in Profits
- Last 6-9 months
- Online & Offline Presence
- Top 5 Brand in the country in its product category
- Metro & Tier-I Cities only
- Central Kitchens
- Own Stores & Online Channels
- Industry Wide Issue

Approach/ Framework



Recommendations

- Diversifying supplier base and explore sourcing cocoa from other regions
- Exploring long-term contracts with suppliers to lock in prices and mitigate future volatility.
- Alternative ingredients can also be tried
- Conducting surveys to understand customer preferences
- Creating new cocoa-rich (premium) products
- Marketing campaigns to emphasize the brand

Cab Aggregator Profit Slowdown – Interview Transcript

Your client is a cab aggregator. They are one of the biggest players in the Indian market, but their growth of profits has stagnated. Find out the reasons and make recommendations

Understood, I would like to start off by asking some preliminary questions to understand the situation better. What is the time period over which this stagnation has been observed?

Growth has been slow for some time, but the particular stagnation has been observed over the past year.

Got it. And to understand the market situation a bit better, what is the client's share of the total market and what is the competitive landscape?

The market has many players but is dominated by 2 major players, our client is the smaller of these two firms

Noted. Also what are the different revenue streams and segments for the business?

The client earns a share of the revenue from each ride that is taken through the service. The segments would be the different types of vehicles offered on the app.

Understood, I will proceed with my analysis. Since profits are a function of revenues and costs, I would like to understand both and break them down further. I would like to ask first if the costs have increased or have revenues decreased?

Your approach sounds good. The costs have increased and so have the revenues, but not to a strong extent. You may proceed with analyzing the revenues.

Noted, since the revenue drivers in the industry are the rides that that cabs get through the service. I will break revenue down into the number of rides multiplied by the amount of revenue from a ride. Which or both of these have not grown sufficiently?

The number of rides has not seen sufficient growth.

The number of rides would again be a function of rides per customer and number of customers. Which or both of these are not seeing growth?

The number of customer has grown normally but the rides per customer has fallen.

Is the lower-than-expected number of trips being seen across the different ride types?

Yes, it has been seen in the most common rides - standard, auto rickshaws, and 2 wheelers

Has the impact been seen across geographies, or is it limited to particular regions of India?

The impact has been seen specifically in rural and semi-rural parts of India, where the client has been expanding operations to recently

Got it, would it be correct to also understand that this expansion is the reason for the rise in costs over the past year that was mentioned earlier?

You are correct, the client invested into operations and setup for extending its market to rural and semi-rural markets as its primary presence is currently in Tier-1 and Tier-2 cities. This move was to counter the market leader firm, who has also ventured into the regions around the same time, from capturing more share.

Understood, and have they been facing similar issues with their revenues?

No, they have not faced the same issues and are seeing good growth in the regions.

Got it, so the problem is unique to our client. I would like to break down the problem from the user's perspective by drawing out a customer journey. I can do it both from the side of the riders and drivers. Which one should I proceed with first?

That sounds good, please proceed with the customer journey of the riders.

The journey can be broadly broken down into the experience before the cab ride, during the cab ride and after the cab ride. Is there a particular one you would like me to focus on?

Please focus on the experience before and during a cab ride for a particular trip. Assume the customer already has the app on their phone.

The steps that the customer would follow here are:

- Opening the app and finding the location of their destination
- Selecting the ride type, looking at wait time and price
- Waiting for the cab
- Upon the cab coming, verifying details and getting in
- The cab ride experience itself, ensuring factors like safety, hygiene, quality of driving, navigation, attitude and conversation
- Reaching the correct destination and drop off point
- Completing the ride by making the payment (if not through the app)

Are there any components here that you would like me to focus on?

Yes, you mentioned navigation as part of the cab ride experience. Go deeper into what issues could be happening here and the impacts that would be caused.

Navigation is an essential part of a cab ride experience for any cab aggregator. It is primarily done through mobile apps and the GPS software that the aggregator provides for the location and routes. Since the problem is localized to rural regions, it is possible that the GPS system is not quite robust enough and is facing difficulties in correctly locating certain destinations or pick up points and in mapping out the correct routes. Such an inefficiency would cause delays, mishaps and frustrations in the ride experience. Is there something unique about the company's software?

That is exactly correct, the client uses its self-owned and company-built GPS routing system which was focused on urban areas at the time of inception and has only now just been adapted to map out rural areas as well. Other companies, like the competitor typically employ standard services such as Google Maps for their routing and mapping. The adoption rate for cab aggregators is already low in rural areas and experiences with issues in navigation and location have left many customers frustrated and lead to a very low repeat customer rate in these newly expanded to areas. How should the client proceed from here? Give recommendations.

The suggestions would be broadly focused on two things

1. Fixing GPS Software – As an immediate step it may be wise for the client to adopt a service like Google Maps API to aid in their functioning. For the long term, they can continue to build out their own software.
2. Bringing Back Customers – The client should employ an ad campaign that focuses on the region and shows the reliability and improved nature of maps. They can also offer heavily discounted or even free rides to first time customers, as well as customers who have had bad experiences as known through complaints or ratings.

These will bring the client up to the mark of its competition and allow them to achieve growth through establishing a strong presence in the rural markets.

Those sound good. We can end here, thank you.

Cab Aggregator Profit Slowdown

Your client is a cab aggregator. They are one of the biggest players in the Indian market, but their growth of profits has stagnated. Find out the reasons and make recommendations.

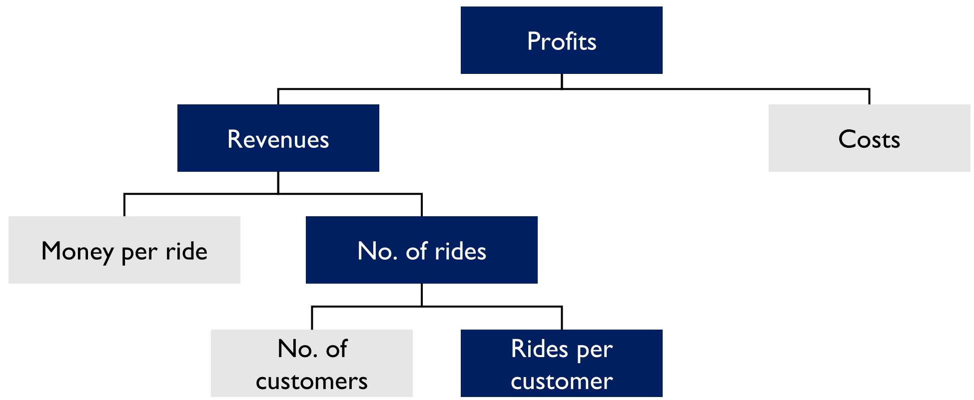
Interviewee Notes

- Experiential issues can cause negative experiences resulting in poor retention and repeat rate
- Deviation from market standards like your own GPS software must be carefully built and tested

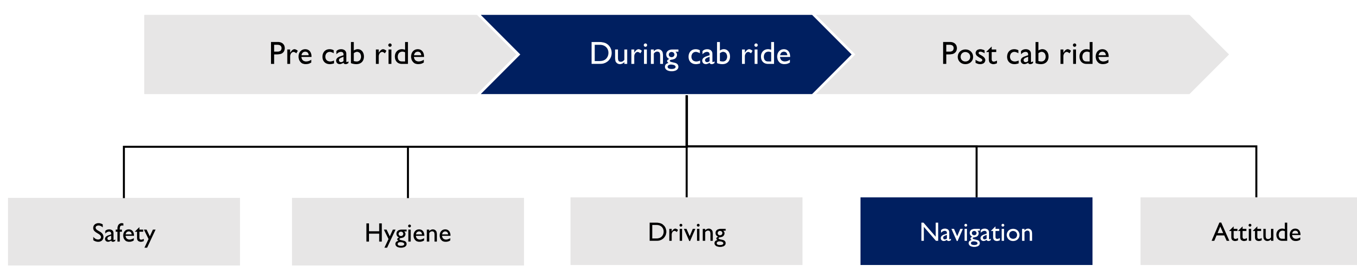
Case Facts

- Problem is localized to rural and semi-rural regions of India that were recently expanded to
- The major competitor has undertaken a similar expansion without encountering such issues

Approach/ Framework



Customer Journey



Recommendations

- Contract the use of standard GPS services like Google Maps for now, continue developing own system over time
- Establish a media campaign focused on improved service in rural areas. Give high discounts and free rides to customers that had bad experiences.

Observations / Suggestions

- Breaking down the customer journey when it's a product one is familiar with can seem easy, but remember to cover all bases
- Recommendations must focus on both immediate recovery and overall company objectives

Home Appliance Manufacturer – Interview Transcript

Your client is a home appliance manufacturer owned by a PE Player, seeking to improve profitability in their refrigerator segment. Give them recommendations for the same.

Thank you for the problem statement. Can you share an overview of the market and our position within it?

70% of the market share is controlled by a few key players, while the remaining 30% is split among 10-15 smaller companies. We are currently one of the top 4 players in the market, with our product and pricing at par with competitors.

What are the client's primary objectives, and is there a timeline in mind?

The client wants to increase revenue within the next 2 years, focusing on growing the profit margin percentage in their refrigerator segment.

Where does the firm geographically operate?

The firm operates in most parts of the country.

Thanks for that information. Just to confirm, is this a price-sensitive market? Additionally, I'd like to understand: are there any insights on product profitability? For example, do certain product lines or sizes offer higher margins?

Yes, customers are highly price-sensitive.

Okay, we can look at increasing the revenue by looking at an increase in either Price of our product, or we can approach it from the quantity side.

Yes. I also want you to note that the price cannot be changed.

Thanks for clarifying. Since it's a price sensitive market, I will examine from the quantity side. I'd like to explore opportunities to target new segments. Can we discuss expanding our focus on specific consumer groups or markets? For example, could we target large families, enter the B2B market, or look at specialized segments like frozen storage or cold chains?

That's an interesting suggestion. Let's focus on the first two ideas: targeting large families and selling to businesses. How do you propose we proceed with these segments?

For large families, we can highlight the value of larger refrigerators that better suit their storage needs. This segment might respond well to targeted advertising focusing on convenience and cost savings, such as reduced shopping frequency due to higher storage capacity. Advertising could be conducted through digital channels, neighborhood events, or partnerships with grocery chains where families frequently shop.

That sounds plausible. What about businesses?

Selling to businesses could be a strong revenue stream. We could target offices, restaurants, or hotels that need bulk refrigerators. A focused B2B sales team could offer customized pricing, service agreements, and bulk order incentives. Businesses typically value durability, reliability, and after-sales service more than individual consumers, so we could position our products on those lines.

That seems promising. Which of these approaches do you think is more feasible for us?

B2B seems to offer the most immediate potential for profitability, as businesses often purchase in bulk and have more consistent buying patterns. Additionally, businesses may be less price-sensitive. B2B customers like hotels or restaurants are likely to prioritize larger refrigerators for their operations. We could further refine our offering by focusing on models with the highest margins.

That sounds like a solid approach.

Home Appliance Manufacturer

Your client, a manufacturer of home appliances, seeks to boost sales in their refrigerator product line and has approached you for strategic recommendations.

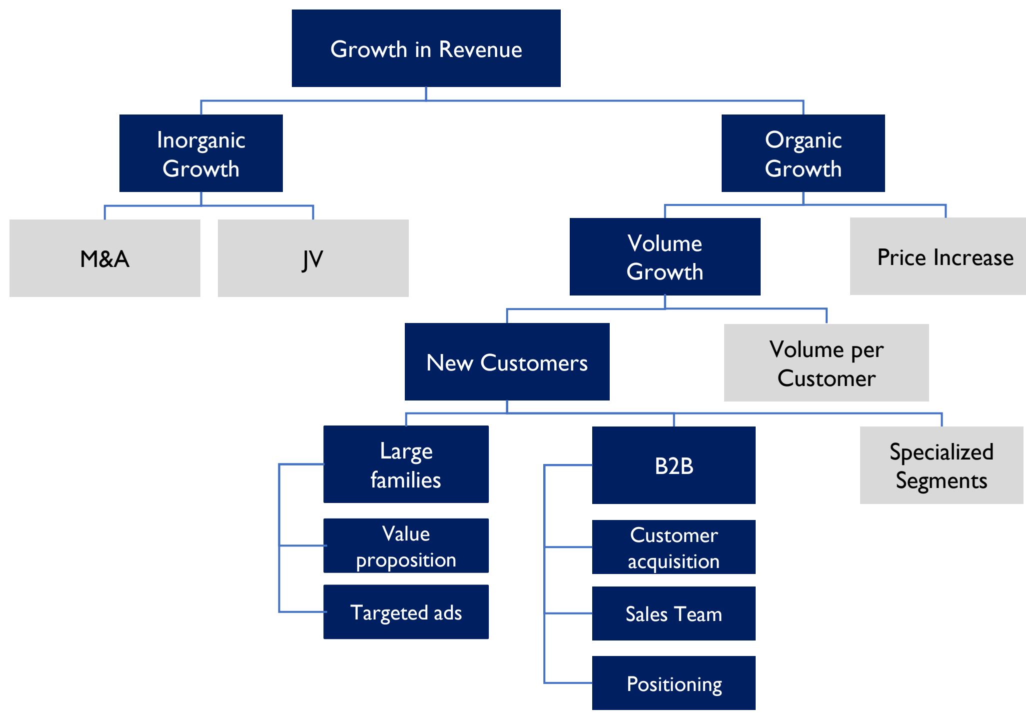
Interviewee Notes

- A basic understanding of refrigerator product lines was expected.
- Discussions revolved around targeting new customer segments and entering the B2B market.
- Unconventional approaches were encouraged to differentiate from competitors.

Case Facts

- Market Dynamics: 70% of the market is controlled by a few players; the remaining 30% is fragmented across 10-15 companies.
- Product Insights: At par with competitors in both pricing and quality.
- Highly price-sensitive market.

Approach/ Framework



Recommendations

- Target B2B Market
- Marketing to Large Families
- Leverage Existing Margins

Key Learnings

- A structured approach focusing on new customer segments is critical for success.
- Differentiated marketing and pricing strategies can unlock higher revenues.
- Targeting B2B customers offers the most immediate profitability potential.

Metropolitan City Airport – Interview Transcript

Your client, a metropolitan city airport, seeks to increase revenue generated from eateries within the airport premises.

Thank you for the problem statement. Could you share some details about the current setup? Specifically, how do the eateries generate revenue for the airport?

The airport earns 11% commission on all sales made by the eateries. This commission rate is fixed and cannot be increased. Similarly, the eateries cannot increase their prices.

Understood. Are there any constraints on introducing new eateries or expanding the range of products offered by the existing ones? Is there any timeline I should keep in mind?

We have limited space, so adding new product categories or eateries has been explored and ruled out for now. You can assume 2 years.

Got it. To explore growth opportunities, I'd like to begin by segmenting the types of customers who frequent the eateries. Based on passenger behavior, can we group them into categories like corporate travelers, passengers who arrive early and browse, and the average hungry traveler?

That segmentation works. You can proceed with it.

Thank you. With this segmentation in mind, I'd like to evaluate two approaches: (1) Increasing Footfall at Eateries, and (2) Modifying the restaurant mix to better cater to their preferences. Are these areas worth exploring?

We've already evaluated those options, and neither is feasible at this time. Let's look at something else.

Understood. If those options are not feasible, I'd like to examine the customer journey for passengers at the airport to identify potential gaps or opportunities. Would that be helpful?

Yes, go ahead. Describe the customer journey.

The customer journey can be broken into three key stages:
i. Before arriving at the airport: Passengers may decide in advance whether they want to eat, influenced by factors like flight timing, personal preferences, and access to lounges.
ii. Upon arrival at the airport: Passengers interact with the environment, browse eateries, and make decisions based on proximity, visibility, wait times, and perceived value.
iii. At the eatery: Their experience with the service, food quality, and ambience affects satisfaction and future spending behavior.

We could also look at packaging options.

Around 0.02% of the passengers pre-book food at the airport. Additionally, we know that South Indian is the most popular cuisine. Is there anything else we can look at?

I believe the key missing piece is granular passenger data. Without detailed insights into passenger preferences, spending habits, and movement patterns, it's difficult to tailor strategies effectively. Could we seek data from other airports, and would that be helpful for benchmarking?

No, data from other airports wouldn't be helpful as passenger profiles and preferences vary significantly across locations. What would be the best methods to collect actionable data specific to this airport?

Here are a few approaches we could explore:

i. Mobile App Integration: Use the airport's mobile app to encourage passengers to log their preferences, browse eatery menus, and make reservations.
ii. Wi-Fi Analytics: Track passenger footfall and movement patterns using data from airport Wi-Fi networks.
iii. Point-of-Sale Data: Collaborate with eateries to analyze sales transaction data for insights into spending patterns, popular menu items, and peak demand times.
iv. Surveys and Feedback: Deploy kiosks or integrate surveys into the app to gather qualitative feedback directly from passengers.

Thank you, we can wrap this up here.

Metropolitan City Airport

Your client, a metropolitan city airport, seeks to drive growth in revenue generated from eateries within the airport premises

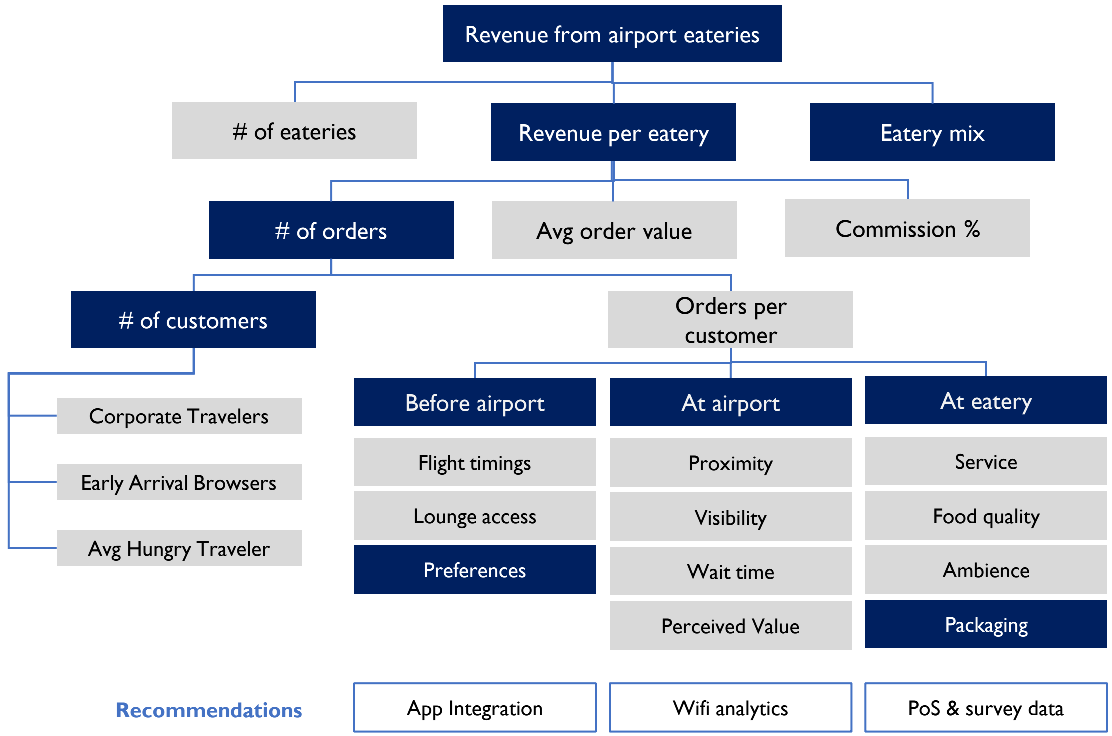
Interviewee Notes

- This case required some out-of-the-box thinking.
- Segmentation of customers was a good starting point, to explore the drivers of airport eatery revenue.
- The customer journey yielded key insights for the case.

Case Facts

- Revenue Model: Airport earns 11% commission on sales from eateries.
- Constraints: Fixed commission rate, no new eateries, no price hikes.

Approach/ Framework



Recommendations

- Wi-Fi Analytics: Use data to track passenger footfall and movement patterns across terminals.
- Surveys and Feedback: Deploy kiosks or integrate quick surveys into the airport app to gather qualitative insights.
- Point-of-Sale Data: Collaborate with eateries to analyze spending behavior and peak hours.

Key Learnings

- Detailed insights into passenger preferences, footfall patterns, and spending behavior are essential for targeted interventions.
- Understanding customer segments like corporate travelers and early arrivals helps tailor promotions effectively

Market Entry cases

Indian 2-Wheeler Foreign Market – Interview transcript

An Indian 2 wheeler company wants to expand to foreign markets. Which geographies would you suggest and why?

I would like to ask some preliminary questions to understand the situation better. I would like to understand the product portfolio, target segment and market position of the client first.

The company specializes in affordable commuter bikes and mid-range scooters. It majorly targets budget-conscious and mid-range consumers. Domestically, it is one of the top players, known for cost efficiency and reliability.

Understood. Additionally, I would also like to understand the motivation of the client to expand to foreign markets and if have a preference for any particular market?

The indian market is currently saturated in terms of growth with the client being one of the top players. Hence, the primary goal of this expansion is to drive revenue growth while entering high-potential markets. Geographically, client has no preference for a foreign country for market entry.

I can probably firstly list down the factors on which the client can assess which foreign market to enter in order to implement a structured process to the decision making.

That seems fair. Pls proceed.

For assessing the potential for entering a new foreign market, I would like to look at – i. Market size (TAM) and its future growth potential ii. Consumer demographics and local industry trends iii. Competitive landscape in terms of market saturation and barriers to entry iv. Economic feasibility including macroeconomic indicators and exchange rates v. Regulatory environment in terms of ease of doing business and political stability vi. Operational feasibility in terms of supply chain networks and workforce availability vii. Risks involved and ease of exit strategy if needed. Do these factors look good?

Yupp, this is pretty exhaustive. How would you go ahead with your analysis?

Considering the above factors, we can firstly look at types of countries – developed, developing and underdeveloped to narrow down our search. Developed nations often provide stability, robust infrastructure, and higher purchasing power, making them attractive for premium offerings, though they come with intense competition and higher operational costs. Emerging markets, such as India offer high growth potential due to rapid urbanization, a growing middle class, and relatively untapped sectors, but they may present challenges like regulatory hurdles, infrastructure gaps, and price-sensitive consumers. I believe that we need not consider underdeveloped countries considering larger hurdles to setting up a business.

That's good. Those are valid points you have raised there. Actually, this is a real-world case that we solved for a client. So, considering that assume you have 3 options - Vietnam, Brazil, and Nigeria where the client would like to enter. Ignore regulatory barriers for now.

Understood. Considering we have narrowed down our search, we can initially look at the following main factors for entering the 2-wheeler market – market size, 2-wheeler penetration, income levels, growth potential and competition.

Makes sense. What do you think about these markets in these respects?

From my understanding of these markets. I believe considering their population, Brazil and Nigeria have a good market size. I am unsure about Vietnam. In terms of income level, I believe we can keep Brazil in the high-income per capita category followed by Vietnam and then Nigeria. Moreover, I believe there would high competition from Japanese firms in Vietnam. In comparison, I don't think there would a lot of competition in Nigeria and moderately in Brazil. Can you help me with details for the market size in Vietnam, the 2-wheeler penetration if available across the 3 countries and any barriers to entry for each of them.

Sure. Firstly, your current assumptions are pretty close. While Brazil and Nigeria have a good market size, its comparatively smaller in Vietnam. In terms of 2-wheeler penetration, you consider Vietnam as high, Brazil as moderate and low for Nigeria. As you correctly pointed, there is high competition in Vietnam whereas in Brazil, the market is very fragmented with no large players and in Nigeria, its price driven by Chinese competitors. Considering these details, can you estimate the barriers to entry in each countries and further potential for growth for their markets?

Okay. I think Vietnam would have a high barrier to entry considering technologically astute Japanese firm which will pose high competition with a smaller market size. Even for Nigeria, considering it's a price sensitive market with low penetration, it could also pose high barriers to entry. Comparatively, Brazil with its highly fragmented market, with decent 2-wheeler penetration numbers and large market size provides high potential for growth allowing for entry of a new player to consolidate the market. Following Brazil, I think Nigeria, despite its high entry barriers, could make for a decent market considering a large market size as well as the client's expertise in cost efficiency. The client would however have to deploy resources on penetrating the market which could make exercise more expensive, making slightly less desirable. So, I would recommend a phased dual market entry with the primary target being Brazil followed by Nigeria.

Great inferences from the details provided. The client had also identified Brazil and Nigeria. Brazil for near-term profitability and Nigeria for long-term growth. Any risks that you presume here that the client should consider?

In Brazil, the primary risks include intense competition from fragmented local players, which may dilute pricing power and require significant marketing investments to establish brand recognition. Additionally, while infrastructure is relatively developed, logistical challenges in semi-urban and rural areas may impact distribution efficiency. Nigeria presents risks related to affordability, as the market is highly price-sensitive and dominated by low-cost Chinese imports, demanding a competitive pricing strategy with thin margins. Infrastructure gaps, such as unreliable transportation and supply chains, add operational complexities.

Can you finally summaries the case for me?

An Indian 2-wheeler company, the client, seeks foreign expansion to drive growth. Among Vietnam, Brazil, and Nigeria, Brazil is recommended for its large, fragmented market, moderate competition, and high growth potential. Nigeria offers long-term potential despite price sensitivity and competition, while Vietnam poses high entry barriers due to saturation and Japanese dominance. A phased entry strategy prioritizing Brazil, followed by Nigeria, is advised.

Indian 2-Wheeler Foreign Market

An Indian 2 wheeler company wants to expand to foreign markets. Which geographies would you suggest and why?

Interviewee Notes

- Important to understand the product portfolio of the client as well as specific goals they may have to enter a foreign market.
- Ask for reference data wherein needed.
- Important to realize that it is easier to break down each step into smaller sub process to analyse them, especially when a clear way through or information is not available.
- Even though this is an actual case, there is no compulsion to arrive at the exact same recommendation.

Case Facts

- The company specializes in affordable commuter bikes and mid-range scooters.
- It majorly targets budget-conscious and mid-range consumers.
- Domestically, it is one of the top players, known for cost efficiency and reliability.
- The indian market is currently saturated in terms of growth with the client being one of the top players.
- The primary goal of this expansion is to drive revenue growth while entering high-potential markets.

Approach/ Framework

Market Entry

Market Size | Regulatory Environment
Competitive Landscape | Industry Trends | Consumer Behaviour
Economic Feasibility | Risks | Growth Potential

Metric	Vietnam	Brazil	Nigeria
Market Size	Medium	Large	Large
2-Wheeler Penetration	High	Moderate	Low
Income Per Capita	Medium	High	Low
Competition	Intense (Japan)	Fragmented	Price-driven (China)
Entry Barriers	High	Medium	High
Growth Potential	Low (Saturation)	Moderate	High

Observations & Suggestions

- It is important to ask preliminary questions to understand the company and the industry. A key insights about the core competency of the firm as well as the motivation for expansion was derived from the preliminary questions.
- It is important to ask questions for details that the candidate is not aware of (like the details for competition or barriers to entry in an unknown market or geography) instead of random assumptions. However, calculated and inferential assumptions based on a clear line of thought or logic can be used for extrapolation.
- It is important to summarize the case crisply by including only the recommendation and the major details without going over every case point discussed during the interview.

Copper Plant in South Africa – Interview Transcript

A company extracting minerals like Aluminium, Iron, Zinc and Copper, with plants in India is looking to expand into other countries. They are primarily supplying to India for most minerals, 50% of some of the minerals go to Europe. They are now considering setting up a copper plant in South Africa, which has no other copper plants. Help them with this decision.

Understood, I would like to ask a few clarifying questions before going forward with my analysis. What is the client's primary objective in setting up the South African plant?

The lack of copper plants in the area brings a good opportunity to enter the South African market and to establish a presence in the broader African market.

Understood, I would like to start off by analyzing the market attractiveness of setting up the new plant. I will further delve into financial and operational feasibility afterwards. Does that approach seem okay?

Yes, that sounds comprehensive, please proceed.

To understand the market, since we know that South Africa does not have any other copper plants. How much copper are they importing per year?

They are importing 150,000 tons of copper annually.

Noted, now we have an idea of the demand. Based on our previous plant setups and current plans, what will be the approximate capacity of this new copper plant?

The plant is proposed to have a capacity of 100,000 tons.

We can clearly see that the plant is cover 67% of the current demand. Is there any additional information about the South African economy, perhaps regarding the mining and manufacturing industries, or their trends?

The mining and manufacturing sectors are the major industries driving the economy historically. Government incentives have been leading to a rise in the automotive sector and more recently, the country has seen a push for the space industry as well.

Understood, these trends point towards a booming manufacturing sector and a stable base of operations for mineral extraction. There should be a consistent and growing demand for copper, being involved in these production heavy sectors.

Good insight, you can move onto the financial analysis.

For the financial portion, I would like to evaluate the decision of whether to invest as a capital investment and calculate to see if it is NPV positive.

Your approach sounds good, can you also estimate the IRR to see how it relates to the perceived risk and discount rate?

Yes of course, I will estimate the IRR as well. For the discount rate since we have good growth indicators, but the plant setup is still a large capital expenditure, does a moderate discount rate of 10% sound right for my calculations?

Yes, that sounds appropriate, you can use 10%. What other numbers will you need to calculate the NPV of the investment decision?

Could I please get information about the initial investment, annual operating expenditure and operating lifespan of the plant?

The setting up of the plant, will have an initial investment of $300 million with an annual fixed operating costs of $50 million and variable costs of of $5000 per ton for its lifespan of 5 years. Are there any other numbers that you would need for your evaluation?

I will be calculating the revenue; I have the production capacity numbers so I would also want to know the market rate of copper per metric ton.

The current rate of copper is $7250 per metric ton.

Thank you.

First we calculate
Annual Revenue = $7,250 /ton × 100,000 tons/year = $725 million /year
Annual costs = Fixed + Variable = $50 million/y + $5000/ton x 100,000 tons/y = $550 M
Annual Profit = $725 million – $550 million = $175 M

Using these we calculate the Net Present Value (NPV) with a discount rate of 10% (due to a low to moderate risk factor as evaluated), gives us $363 million which is positive.
The IRR comes out to be approximately 34% which is significantly above the 10% rate
These values tell us that the plant is financially profitable

That sounds fair. Moving on, what are the operational factors that you would consider?

Some major factors to consider and make sure of would be:
- Location and proximity to resources
- Utilities and their costs
- Transport logistics
- Availability of skilled labor and costs
- Political stability and regulations

Given the size of the project, we would want to research these and perhaps negotiate with the government

What particularly about these factors would you negotiate or understand?

These factors are important for the following reasons that I would want to negotiate -
- Location - whether the area presents sufficient space to expand, dispose waste and is not too far from resources and hubs
- Utilities – the plant's operational costs are quite high so we can negotiate subsidies for water and electricity for the plant given the importance of the plant
- Transport – proximity to ports and availability of transport companies will be important in establishing a strong supply chain and preventing further costs
- Labor – training costs can run high so labor with relevant experience will help
- Political – that regulations do not restrict foreign investment and are stable for the time being

These all sound reasonable. Is there something else as well that you would want to negotiate with the government? Perhaps on the demand side.

Yes. Since the current economy is dependent on the import of processed copper, there may be an inertia to shift within the market and importing players. The client should lobby the government to negotiate an agreement where the import of copper will only be permitted post the amount that the new plant will be producing, i.e., 100,000 metric tons. This will ensure that there is not too much resistance and direct competition with foreign players that are involved in South African imports. The client can sufficiently leverage the benefits of a large foreign investment which will be greatly involved in job creation, economy and industrial boosts.

That is a good analysis. For the final go-ahead decision what would you look at?

The decision would hinge on whether the South African government accepts the agreement described above. It would be necessary as the client should ensure that there will be a sufficient and sustained demand for the capacity of the plant's production. If the government accepts, the project should go ahead.

Great. Let us end here, thank you.

Copper Plant in South Africa

A company extracting minerals like Aluminium, Iron, Zinc and Copper, with plants in India is looking into expansion into other countries. They are primarily supplying to India for most minerals, 50% of some of the minerals to Europe. They are now considering setting up a copper plant in South Africa, who has no other copper plants. Help them with this decision.

Interviewee Notes

- Value chain is similar to standard manufacturing
- Major projects can allow for negotiation with government to help synergies and cost levels
- Detailed numbers are being given so financial analysis will be intensive

Case Facts

- No current copper plants in South Africa imply imports of copper
- Operating costs run high with energy and materials

Approach/ Framework

Market Entry

Market

- Demand — 150,000
- Supply — 100,000

Evaluate potential roadblocks and opportunities for growth

Financial

CapEx	$ 300M
Fixed costs	$ 50M
Variable cost	$5000 /ton
Copper rate	$7250 /ton
Lifespan	10 years

Annual Revenue = Rate X No. of tons = 7250 x 100,000 = $725M

Annual Costs = Fixed + Variable = 50M + (5000 x 100,000) = $550M

Annual Profits = Revenue – Costs =725M - 550M = $175M

NPV

Using a discount rate of 10%

Present value of cash flows =

$$\frac{175}{(1.1)^1}+\frac{175}{(1.1)^2}+\frac{175}{(1.1)^3}+\frac{175}{(1.1)^4}+\frac{175}{(1.1)^5} = \$663.3M$$

NPV = PV of cash flows – initial investment = 663.3 – 300 = $363.3M (Positive)

IRR

With guesswork and estimation, NPV is calculated using **30%** where it is still fairly +ve, then **35%** where it falls slightly –ve, giving an estimate of **34%**

Operational

R&D → Raw Material → Production → Transportation → Distribution → Marketing → After sales

Recommendations

- Negotiate terms with the government to limit imports of copper to be only beyond the levels that the plant can produce, go ahead if agreed
- Leverage economic outlook to get subsidies for manufacturing resources like water and electricity, and ease on regulations

Observations / Suggestions

- Considering current market response and pushback is a significant concern for market entry, and must be evaluated properly when it comes to roadblocks
- When working with geographies that one may be unfamiliar with, you can extrapolate certain information from overall trends and ask questions to confirm

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Pricing case

Diabetes Medication – Interview Transcript

You are launching a new medication for diabetes in the medicine market. How will you price the product?

I would like to know more about the market a little bit. Where is the current medication targeted? Are there any competing drugs in the same market?

The target market is India. There are various drugs for diabetes in the market. Most of them are similar to each other in nature and use.

Can you tell me a bit more about diabetes medicines - how the medications are administered currently? How are they priced? And how frequently are they consumed? I would like to know these with respect to our new medication as well as current competition.

Say each competing pill in the market is currently sold at Rs.1. It has to be consumed once per day and for a lifetime. Our drug is similar in this regard.

Are there any differences in our medication with respect to the competition? Particularly in terms of efficacy?

Yes, our medication is 30 times more effective than the average pill in the market.

Interesting. What is our objective that I should keep in mind when pricing the medication? Also, how much does it cost to manufacture our new pill?

Your objective is to maximise profits. It takes Rs. 1.5 to manufacture the pill

Since ours is a specialised and innovative drug, value based pricing makes the most sense given we want to capture maximum profits. Competition's pricing can provide a baseline reference for us to ground our understanding of customers' current willingness to pay given the current markets. Since our drug is not a generic one, cost-based pricing is not relevant. Does this approach make sense to you?

Yes, please go ahead

Next, I would like to segregate the diabetic population into financial strata and identify size of each group. I will then identify willingness and ability to pay per pill for each segment. Finally, I would calculate the price of product that would maximise profit in the market.

In my analysis, I have assumed that given it is a pharmaceutical product, there is no possibility of price discrimination between customers. Can I proceed with my analysis?

Yes, let's deep dive into it.

I would like to start with 3 economic strata - 40% Low economic group, 40% Mid economic group, 20% High economic group. Since product improvements do no get value in the same proportion, for a 30x effectiveness pill, I assume the prices can be a maximum of 15x for the highest willingness to pay customers.

a) Low economic strata: Assuming ability to pay: Rs 2 per pill, size of eligible market (all strata): 100%; total profit: (2-1.5)*1x = 0.5x

b) Mid economic strata: Assume ability to pay: Rs 10 per pill, size of eligible market: 60% (mid+high economic strata); total profit: (7.5-1.5)*0.6x = 3.6x

c) High economic strata: Assume willingness to pay: Rs 15 per pill, size of eligible market: 20% (only high economic strata); total profit: (15-1.5)*0.2x = 2.7x

Thus, pricing it at Rs 10 per pill and servicing mid and high economic group is most profitable

I believe we can close the case. Thank you and best of luck!

Diabetes Medication

You are launching a new medication for diabetes in the medicine market. How will you price the product?

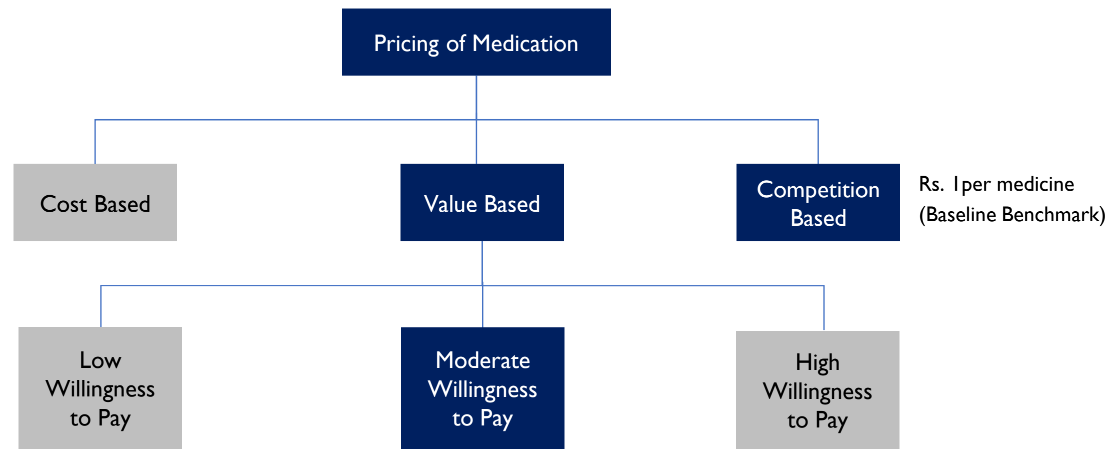
Interviewee Notes

- Since the drug is specialised and innovative, value-based pricing would help capture the maximum profits
- Competition's pricing provides a baseline benchmark
- Since the drug is not a generic one, cost-based pricing is not relevant.
- Since price discrimination cannot be achieved, we can reasonably assume that a price equal or lower than willingness to pay will yield sales

Case Facts

- Indian Market
- Diabetic Medication
- Many Competitors
- Competitor's Selling Price = Rs. 1
- One pill consumption a day – consistent for our product
- Lifetime Consumption – Not a cure
- Our Cost = Rs. 1.5
- USP = 30x Efficacy

Approach/ Framework



Willingness to Pay = Rs. 2
Capture Market = 100%
Profit = (2-1.5)*1x = 0.5x

Willingness to Pay = Rs. 7.5
Capture Market = 60%
Profit = (7.5-1.5)*0.6x = **3.6x**

Willingness to Pay = Rs. 15
Capture Market = 20%
Profit = (15-1.5)*0.2x = 2.7x

Recommendation

- We should use a value-based pricing approach for the new diabetic medicine while ensuring to charge above the costs and competition benchmark
- Rs. 7.5 per medicine is the recommended price based on a profit maximisation approach for the current market, even though it captures only 60% of the market

Growth cases

Pharma Growth – Interview transcript

A pharma company (X) that is successful globally has entered the Indian market two years ago with a breast cancer drug. A competitor (Y), similar in size and global presence, entered the Indian market a year before X with a similar drug. Y has the dominant market share and is growing faster than X. How would you improve X's performance in India?

I'd like to confirm that the objective is to improve X's performance in the Indian market and achieve faster growth in market share compared to competitor Y. Is there any other specific goal or constraint I should keep in mind?

Yes, the primary objective is to improve X's performance and growth in the Indian market, especially in terms of increasing market share and matching or surpassing Y's growth rate. There are no additional constraints, apart from the fact that the MRP cannot be reduced below a certain threshold due to company policy.

Understood. Before diving deeper into the problem, I have a few of questions to better understand the context. 1. What is the current market share of X compared to Y? and 2. Are there any differences in product efficacy, pricing, or other factors between the two drugs?

Y holds a significantly higher market share and is growing faster. Both drugs are similarly priced and highly effective.

Okay. I also want to know who are the key target customers, and what are their primary concerns?

The target customers include oncologists who recommend the drug and patients who use it.

Thank you. I'll proceed to analyze the problem and identify key drivers for growth.

Sure, go ahead.

Growth can be achieved organically by focusing on increasing revenue per user, transactions per user, or the number of users through strategies like improved marketing, partnerships, loyalty programs, and better customer engagement. Inorganically, growth can be driven through acquisitions or joint ventures to quickly capture market share or expand into new segments or geographies. What would you like me to focus on?

Let's begin with organic growth.

When we talk about increasing revenue per user, one way is to enhance the value per transaction. For instance, we could introduce bundled packages that include additional services like diagnostic tests or post-treatment care, which would increase the perceived value of the drug.
As for increasing the number of users in existing markets, a key focus should be on building relationships with oncologists. They are instrumental in drug recommendations, so we could organize outreach programs like seminars, conferences, or visits by key opinion leaders. This would help strengthen trust and confidence in X's drug.
Additionally, improving marketing efforts could make a big impact. For example, we can create campaigns that highlight the drug's efficacy and the patient support programs we offer. Using digital platforms and communicating in local languages could help us reach a broader audience more effectively.

That sounds promising. But given the high pricing of both X and Y's drugs, affordability must be a significant barrier. How would you address the issue of financial accessibility for patients?

You're absolutely right. Affordability is a major challenge, especially since both drugs are priced similarly and are quite expensive. Are any financing options available currently?

Yes, however, the down payment requirement is too high for patients.

So there are two key challenges: first, the high price itself, and second, the current financing options requiring high down payments, which deter many patients from opting for the treatment.

What would you recommend to overcome these challenges?

I'd focus on three strategies:
1. Introduce Flexible Financing Options:
We could develop an EMI-based payment plan with minimal down payments. The key here would be to make the plan simple and easy for doctors to explain to patients, ensuring they understand the benefits and affordability of this option.
2. Partnership with Financial Institutions:
Collaborating with banks or NBFCs to offer low-interest loans tailored for patients could make the drugs more accessible. Such partnerships could also increase trust in the financing options provided.
3. Insurance Awareness Programs:
While expanding insurance coverage is a long-term solution, in the short term, we could promote greater awareness of the financing options available. This would help bridge the gap and encourage adoption of the drug among patients.

I see how these strategies could work. Focusing on flexible payment plans and partnerships seems like a practical approach to addressing affordability barriers. Good insight!
Can you suggest ways to increase accessibility?

I have a couple of ideas to improve accessibility as well.
We could look into expanding the distribution channels so the drug is available in rural and semi-urban areas, where access might be limited right now. This way, we can ensure that more people, especially those in underserved regions, can get the treatment they need.
Another thought is to introduce on-ground support programs. We could hire field representatives who would work directly with oncologists and patients, helping them better understand the financing options available. It could make a big difference in making the process smoother for everyone involved.

That's interesting. Can you please quickly summarize all initiatives?

To summarize, the priority for X should be addressing financial barriers by introducing simple, effective financing options, while simultaneously strengthening relationships with oncologists and improving marketing efforts. This two-pronged approach would help X regain competitive ground in India.

Sounds good. We can close the case now.

Pharma Growth

The client, a pharma company supplying breast cancer drug, wants to improve its market share as against a similar competitor.

Interviewee Notes

- Confirm the objective to improve market share and performance of X's drug in India compared to Y.
- Identify the constraint that MRP cannot be reduced due to company policy.
- Ask clarifying questions on market share, product efficacy, pricing, and drug differences.
- Segment the problem into organic growth
- Explore strategies to address financial barriers

Case Facts

- Competitor Y holds a higher market share and is growing faster, while both drugs are similarly priced and effective.
- Target customers are oncologists recommending the drug and the patients.
- Company X cannot reduce the price due to company policy but seeks to improve affordability and adoption.
- Focus is on improving X's competitiveness through various initiatives

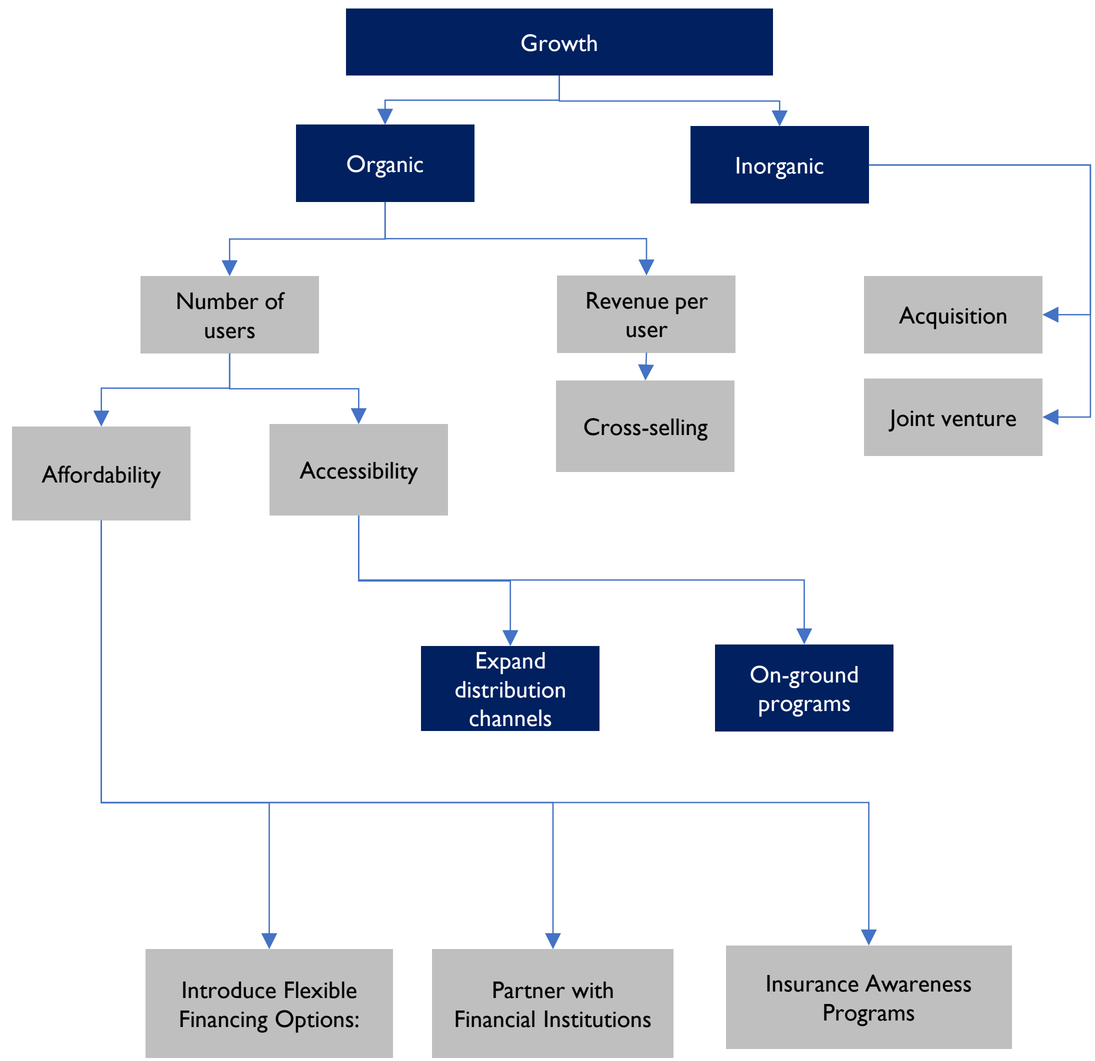
Recommendations

- Flexible Financing Options
- Partnerships with Financial Institution
- Insurance Awareness Programs
- On-Ground Support Programs
- Marketing Efforts

Key Learnings

- Establish a clear understanding of the problem and any limitations upfront.
- Break the problem into organic and inorganic growth opportunities for targeted solutions.
- Address barriers like high costs through innovative financing solutions.

Approach/ Framework



Market Leadership for Airline – Interview Transcript

Your client is a private equity (PE) fund that has recently invested in an airline company operating in Southeast Asia (SEA) on a limited scale. The airline holds approximately 5% market share, while the industry is dominated by five airlines that collectively command 75% of the market. The client's objective is to position the airline among the top two in the market in terms of profitability.

Thank you. To begin, I'd like to clarify a few details. Is the primary focus on achieving profitability, or does the client also want to expand market share as a means to support this goal?

The main focus is profitability, but expanding market share can certainly be part of the strategy. The client is looking for innovative solutions to achieve their goals.

Understood. Could you share more about the airline's revenue streams? For instance, is it primarily reliant on ticket sales, or does it have other sources like cargo or onboard services?

Most of the revenue currently comes from ticket sales, with limited ancillary revenue streams.

Thank you. And regarding costs, could you provide some insights into the major cost drivers? For instance, does fuel, maintenance, or staffing take up the largest share?

Fuel and maintenance are the largest contributors to costs, followed by staffing and distribution expenses.

That's helpful. I'll approach this by analyzing profitability through its two main components: revenue and costs. I'll start with revenue, looking at how we can grow both the customer base and the revenue per customer, and then move to the cost side to identify opportunities for optimization. Does that sound like a reasonable approach?

That sounds good. Let's start with revenue.

On the revenue side, revenue can be expressed as a product of ticket prices, number of tickets per customer and number of customers. In order to increase its customer base, the airline could consider partnering with corporates to target the premium travel segment. Exclusive packages for frequent business travellers would help improve load factors on premium routes while differentiating the airline. Additionally, the airline could expand into underserved geographies. Are there any specific areas in SEA where the airline currently has a limited presence?

The airline primarily operates on major SEA routes but hasn't explored secondary or regional airports much.

That's an opportunity worth exploring. Expanding to underserved regional destinations could help the airline attract new customer segments while avoiding direct competition with the dominant players on major routes.

The next focus would be on increasing revenue per customer. This can be done by enhancing ancillary revenue streams. For instance, the airline could introduce additional chargeable services such as premium F&B offerings, in-flight Wi-Fi, pay-to-use washrooms, or even other innovative add-ons. Another idea would be to reorient seat configurations based on passenger height demographics, which could help fit more seats per flight without compromising customer comfort, thereby increasing overall capacity and revenue.

Additionally, increasing advertising revenues is another avenue. The airline could explore creative methods like branded in-flight experiences or digital advertising displays onboard, which could open up new streams of income while enhancing the passenger experience.

That's interesting. How about exploring inorganic opportunities to boost revenues?

Inorganic growth could certainly play a role. The airline could consider forming strategic alliances or joint ventures with other airlines to expand its reach without significant capital expenditure. Code-sharing agreements, for instance, would allow the airline to serve more destinations by leveraging the networks of partner carriers. Another possibility is collaborating with tourism boards or travel aggregators to create bundled flight-tour packages, which could attract high-margin customers such as international tourists.

Good points. Let's move on to costs now.

On the cost side, I'd analyze the value chain to identify inefficiencies and opportunities for optimization. Starting with procurement, the airline could negotiate better fuel contracts through long-term deals or hedging mechanisms to reduce price volatility. Additionally, transitioning to a standardized fleet with more fuel-efficient aircraft would bring long-term cost benefits while also aligning with sustainability trends.

Moving to operations, predictive maintenance using IoT and sensors could help reduce downtime and maintenance expenses. This would not only lower costs but also improve operational reliability. Staffing costs could be optimized by automating non-core processes such as check-ins, baggage handling, and ticketing, reducing the reliance on manual labor.

On the customer service front, the airline could introduce policies to poach passengers from competitors. For instance, customers who lose seats due to overbooking by other airlines could be offered low fares or complimentary upgrades to fill empty seats during low-demand periods.

That's a thorough breakdown. Would you have any other recommendations to make the airline stand out in this competitive market?

Certainly. Beyond these foundational strategies, there are some creative, long-term initiatives the airline could pursue. One idea is to enter adjacent markets, such as offering branded taxi services for last-mile connectivity. This would allow the airline to provide an end-to-end travel solution while capturing additional revenue streams.

Another possibility is building or acquiring an airport in a strategic location. By managing its own hub, the airline could reduce its dependency on existing airports, optimize operations, and generate new revenues through airport services.

Additionally, investing in cutting-edge technologies like driverless planes might seem ambitious, but establishing an early foothold in this space could position the airline as an industry leader. While there are safety and regulatory challenges, the long-term potential is significant.

These are some interesting ideas. If you were to prioritize your recommendations, how would you do it?

I'd prioritize initiatives based on their feasibility and potential impact. In the short term, I'd focus on partnering with corporates to tap into the premium segment, optimizing fuel contracts, and introducing ancillary revenue streams like chargeable services and in-flight advertising. In the medium term, expanding into underserved regional routes and transitioning to a more fuel-efficient fleet would be key priorities. Finally, in the long term, I'd look at ambitious moves such as entering the taxi business, acquiring an airport, and investing in disruptive technologies like driverless planes.

That's a well-thought-out plan. I think we can wrap up the case here. Thank you.

Market Leadership for Airline

Your client is a private equity (PE) fund that has recently invested in an airline company operating in Southeast Asia (SEA) on a limited scale. The airline holds approximately 5% market share, while the industry is dominated by five airlines that collectively command 75% of the market. The client's objective is to position the airline among the top two in the market in terms of profitability.

Interviewee Notes

- Focus on increasing profitability while exploring market share growth as a supportive objective
- **Approach:**
  - Analyze profits through revenues and costs.
  - Explore both organic and inorganic growth strategies for revenue.
  - Optimize cost structure using value chain analysis and innovative solutions.
- Explore creative and ambitious ideas to achieve market leadership in profitability

Case Facts

- The client is a PE fund that invested in an airline operating in SEA with a 5% market share.
- The airline's revenue is primarily ticket-based, with limited ancillary revenue streams.
- Major costs include fuel, maintenance, staffing, and distribution expenses.
- The client's objective is to make the airline one of the top two in terms of profitability.

Approach/ Framework

Profits
- Revenue
  - Organic Growth
    - Revenue per customer
      - Ancillary revenue (F&B, Wi-Fi)
      - Advertising revenue
    - Number of customers
      - Corporate partnerships
      - Expand regional reach
  - Inorganic Growth
    - Strategic Growth Options
      - Airline alliances (code-sharing)
      - Joint Ventures with Other Airlines
    - Collaborations with External Stakeholders
      - Collaborating with Tourism Boards
      - Collaborating with Travel Aggregators
- Costs

Other Ambitious Ideas

- Branded taxi services
- Airport acquisition
- Driverless planes

Cost Analysis

Procurement
- Fuel contracts (hedging, long-term deals)
- Standardized fuel-efficient fleet

Operations
- Predictive maintenance (IoT)
- Automate processes (ticketing, baggage)

Distribution
- Shift to online ticket sales
- Airport shuttles (last-mile connectivity)

Recommendations

- Short-Term: Partner with corporates for premium travel, optimize fuel contracts, and introduce ancillary revenue streams like F&B and advertising.
- Medium-Term: Expand into underserved regional routes and transition to a fuel-efficient fleet.
- Long-Term: Enter adjacent markets, build/acquire an airport, and invest in innovative technologies like driverless planes.

Key Learnings

- Partnerships, new revenue streams, and regional expansion are effective immediate drivers, while disruptive ideas ensure long-term market differentiation.
- Aligning short, medium, and long-term initiatives with operational realities ensures both feasibility and maximum impact.

Netflix India – Interview Transcript

Your client is Netflix India, and they want to double their revenues in 5-6 years. How should they go about it?

That sounds interesting! So, a 5-year doubling translates into an objective of around 15% CAGR. To identify the avenues for this growth, I'd like to start by understanding Netflix's business model. What are their revenue streams, and what types of content do they stream?

They earn solely from subscriptions, and stream four types of content: movies, TV series, documentaries, and mini-series. The content is a mix of original and licensed shows.

What is the pricing model like for these subscriptions? I'm guessing there would be different tiers.

So, they have multiple subscription plans based on the streaming quality and the number of screens that one can share the plan on. Then there's also a cheaper mobile-only subscription.

Okay. I am hypothesizing that their target consumers are mid-to-high income urban young adults. Is that correct?

Yes. Netflix is primarily concentrated in large cities at present.

And, what is the market structure like? Also, do we have any data on the market's growth?

The top 3 players, including Netflix, hold 75-80% of the market. The remaining are highly fragmented regional players. The market overall is growing at 10-15% with increasing TV to OTT substitution, driven by increasing digital & data penetration in Tier 2 cities and beyond.

Okay. I think I have a decent understanding to start analysing the problem. Now growth can either be in the same industry or the other. My hypothesis is that Netflix would want to grow within OTT only.

Yes, that is a valid hypothesis.

They can achieve this growth through organic or inorganic means like partnerships and acquisitions. Do they have any preference at this stage?

Not really. You can start with organic growth & then look at inorganic options later.

Within their existing product offerings, they can grow their revenues through price & volume levers, which is essentially growing MAUs. I would break pricing into price levels and pricing structure. Since they primarily cater to mid-to-high income customers, price sensitivity should be low giving some headroom for hikes. In terms of structuring, they could explore freemium models, genre-wise plans, and rent-a-movie to unlock greater volumes at a mass market level. Coming to volumes, growth can come from market size or market share growth. That makes me wonder, if the market size is already growing at 15% and Netflix holds a significant market share, why is it looking for specific growth solutions? They'll anyways double if they just keep up with the market.

That's a very sharp observation! So, Netflix is currently concentrated in Tier 1 cities, but much of the market growth is in Tier-2+ and rural areas. Metro markets are stagnating.

Makes sense. So, they need to expand beyond their current market scope. This can be through newer customer segments or geographic expansion. In this case, since growth is geographically varied, it would be more effective to focus on this route.

Sounds logical. How would you recommend they go about it?

To capture share in these newer markets, Netflix can use four levers: awareness, accessibility, affordability and experience. To improve awareness, they could expand their marketing reach by using newer channels targeted towards Tier 2 & rural areas such as advertisements in vernacular newspapers. Accessibility can be improved by partnering with smartphone makers to have the app pre-installed, and by having a Lite version of the app for consumers with poor connectivity or small data plans. Affordability can be through part-pricing like we discussed earlier, allowing customers to subscribe with micro plans and a freemium model to allow trial and affinity without payment. Finally, the experience part can be broken into 3 elements: the app, the content provided, and additional services. On the app, they could look to improve its look and feel to make it easy to navigate, and also incorporate interfaces in regional languages. In terms of content, they could dub their content to regional languages as well as create targeted region-specific content. Finally, additional services would comprise their recommendation engine and integrating reviews of upcoming shows.

That sounds good for growing their consumer base. Is there anything else they can do?

Yes. These were the levers available to grow MAUs for the existing content portfolio. But, they can also look to expand their content portfolio itself to related categories such as sports coverage, music videos and audiobooks. For instance, JioCinema-HotStar has a strong presence in sports and Netflix already does sports-related documentaries like Drive to Survive, which could give it synergies. Other categories could be music videos, like YouTube, and audiobooks, like Audible. The caveat is that each of these is an entrenched player, so capturing market could be tough.

Yes, these are longer term growth options. What can they do in the medium term to grow fast?

They could explore inorganic options in addition to the organic ones we already covered. Since they are focusing on the OTT industry only, they should look at partnerships and acquisitions in the current industry value chain instead of diversifying. These integrations can be horizontal or vertical. Horizontally, they could acquire multiple regional players – these will be small enough to acquire – and give both immediate market capture as well as a ready pipeline of local content. This will directly aid with the 2x growth objective. To strengthen its content portfolio, Netflix can also look at upstream integration with Bollywood or regional movie production houses for exclusive, high-quality local content.

Sounds good. I think you've covered the options quite comprehensively. Can you give a final recommendation?

Sure. Just to recap, Netflix's objective was to achieve 2x growth in 5-6 years and the market landscape is one where growth is being driven by Tier-2+ geographies unlike Netflix's metro stronghold. As such, based on growth potential, feasibility, and timelines, I would recommend three actions:

1) Expand organically into Tier-2+ geographies through targeted marketing, cheap micro-subscriptions, and easy access from being pre-installed on budget phones.
2) Strengthen their relevance & accessibility to Tier-2+ consumers through regional-language adaptations and local content, as well as local language app interfaces.
3) Acquire or partner with regional OTT leaders in key geographies to capture market share and obtain content pipelines.

Great! We can close the case here.

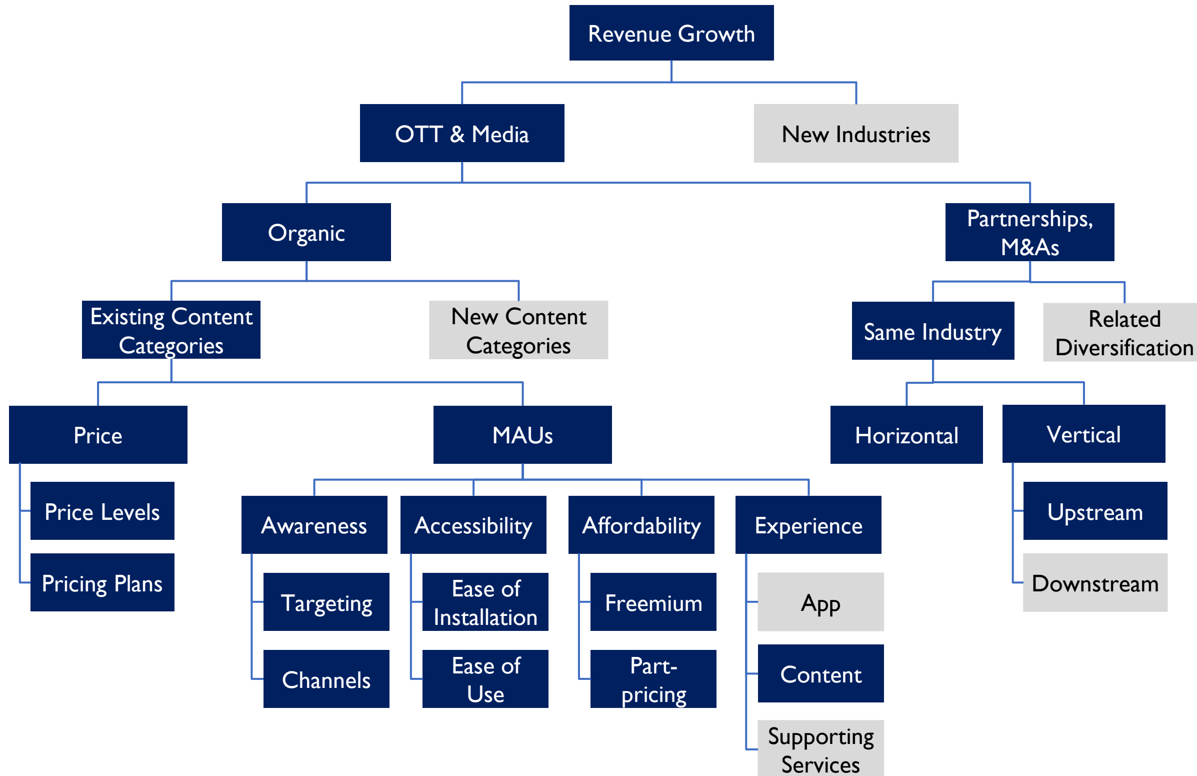
Netflix India

Netflix India wants to double its revenues in 5-6 years. How should they go about it?

Interviewee Notes
- Understand the business model and revenue drivers
- Netflix unlikely to seek unrelated diversification at this stage, because OTT is still a growth market and its global strategy has been focused.
- Downstream integration does not make sense for a platform model, but upstream can add value since content is the main value creator.
- Tier-2+ penetration likely to be a function more of awareness, accessibility and affordability than differentiation at this stage.

Case Facts
- Single revenue stream – subscriptions
- 4 content categories: movies, TV shows, mini-series, documentaries
- Concentrated market – 75-80% with 2-3 players
- Client is a market leader
- Market growing at 15%, driven by Tier-2+ geographies
- High Tier-1 city concentration
- Target group: mid-high income urban young adults

Approach/ Framework



Recommendations:

1) Expand organically into Tier-2+ geographies with advertising programmes, pre-installation agreements for smartphones, and part-pricing subscriptions
2) Acquire regional OTT leaders to capture markets and obtain local content pipeline
3) Adapt content and app interface to vernacular languages, and provide region-specific content

Key learnings:

1) A growing market does not mean your client will automatically grow. Market may be growing in other pockets.
2) Explore organic and inorganic options in-depth and look for synergies or complementarities between the two to ensure your overall approach is coherent.

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Due Diligence cases

Bakery Chain Due Diligence – Interview Transcript

Your client is a PE firm looking to acquire a premium dessert/bakery chain based out of Mumbai. They have asked you to hire us to carry out the commercial due diligence of the firm.

Understood. Can you help me better understand the firm? What are their offerings, operational details and target markets?

It is a premium dessert chain offering western delicacies like cheesecakes, brownies, pastries along with a few baked savory items and coffee. They prepare their desserts in central cloud kitchens and sell through either their stores/cafes or through online delivery via Swiggy or Zomato. They are mainly located in Tier I/II cities.

Got it. I'll approach this case by evaluating three aspects: market sizing and attractiveness, business specific metrics, and competition analysis. Does that framework work for you?

Yes. That looks fine to me. Go ahead with your analysis.

In order to size the market, we can start with calculating the TAM (total addressable market) in India and then using penetration rate and average order value, calculate the SAM (serviceable addressable market) for the premium western desserts. Furthermore, if we can multiply the market share (current or expected) to get the value of SOM (serviceable obtainable market) exercisable by the chain. Does that approach sound correct?

Yes. Seems reasonable. Can also you define on what parameters you will calculate the TAM?

I'll segment the target audience based on city tiers, income levels, and age brackets. We can assume that the customers are largely upper-middle and high income individuals residing in Tier I/II cities (urban) mainly failing in the 18-35 age bracket.

That's the correct market segment that the chain currently caters to. Can you work the numbers to arrive the market size using these factors? You can assume penetration rate for western desserts is about 25% in Tier I cities.

Considering the population of India to be 140 Cr, with about 35% residing in Tier I/II (urban) regions. Out of these cities, the upper-middle- and high-income group would constitute about 30% of the population and about 40% population would fall in the desired age group. Thus, the target customer would be = 140 Cr * 0.35 * 0.3 * 0.4 * 0.25 = 1.47 ~ 1.5Cr. Considering an order value of Rs 400 per month, the market size would be 400 * 12 * 1.5 = 7000Cr annually. This show that the market is sizeable with high growth potential.

That seems fair. Can you talk me through why do you consider the market will grow well?

I think the market for western desserts should grow at a good pace for the following reasons – i. Increasing globalization has led to a change in consumer preferences with greater exposure to western delicacies, especially in the younger demographic which is more experimental ii. Rising disposable income allows greater affordability iii. Rise of celebratory culture with association of cakes/desserts with occasions. iv. Ease of access due to emergence of online delivery platforms. v. emergence of café culture for hangouts and dates.

That's seems very elaborate. You can move ahead to the business specific analysis of the chain

Got it. For analyzing the business, we can look at the following factors – customer perception, financial health and metrics, operational efficiencies, any risks or synergies and founder's role.

Can you talk about customer perception and how you would go about assessing them for the chain? You also mentioned founder's role here, so please talk about that as well.

Okay. As for the chain. it is generally perceived for its good consistency in quality and service, having a large variety of fresh, authentic and unique offerings with an aspirational value. The brand is viewed positively by the market and does have a good recall value from its stores/cafes.

That's the general perception. But how would you validate this customer perception about the chain to assess the business?

Fair point. For assessing the consumer perception, we can look at survey to gauge willingness to pay, popular SKUs, and brand recall in test cities. Furthermore, we can also look at the data available from the online delivery platforms like Swiggy or Zomato to understand order frequency, average order value (AOV), and delivery times.

Makes sense. However, how does the founder come in play in assessing the business here?

I believe, especially in case of the chain, the founder herself is a trained pastry chef who came back to India to start the business and curates all the recipes and SOPs for creation, storage and delivery of the products. Hence, the presence of a founder with direct industry understanding of the dessert business leads to good products as well as lends the brand a sense of authenticity.

Good points there. Consider now if you had to launch a store in a new city. What factors would you have to consider and what challenges operationally do you anticipate?

For launching the chain into a new city, I would like to assess the following factors – i. Presence of competitors in that city along with benchmarking intensity of competition. ii. Willingness to pay for customers iii. Number of stores to be opened considering lead conversion %, average order values and area coverage to prevent cannibalisation iv. Delivery infrastructure in terms of penetration of online delivery platforms as well as planning for setup of dark stores/cloud kitchens. v. Product mix to be catered to adapting to any local preferences vi. Performance marketing for brand awareness and promotion in the city vii. Supply chain factors including sourcing of ingredients and hiring of staff.

That's really comprehensive. Can you talk about the competitive landscape as well?

The western desert segment, considering is a growing one, will likely see more brand proliferations across different price points leading to high degree of competition. Currently as well, the chain faces intense competition from chains like Smoor and Love and Cheesecake as direct competitors while from "xx" and "yy" at lower price points apart from the numerous standalone localized bakeries. There is also indirect competition from café chains like Subko, Blue Tokai, Third Wave Coffee as well as online-delivery substitutes for deserts.

Interesting. So, who would you assess the chain in this competitive landscape? What levers do you think they have for future growth if any?

I believe the chain is primed to do well, despite the competition in the market, considering it's a reputed brand with an established consumer base. Moreover, it balances quality and price sensitivity of its products making it well placed in a sweet spot to grow its consumer base. I think the chain can use the following levers for growth – i. More expansion into Tier-II seeking aspirational appeal ii. Introduction of new product line along vegan, gluten free healthy options. iii. Product personalization options iv. Corporate partnerships for gifting as well as entry into packaged retail products v. Loyalty programs for consumer engagement

That's a very through analysis of the business. Well done!

Bakery Chain Due Diligence

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Your client is a PE firm looking to acquire a premium dessert/bakery chain based out of Mumbai. They have asked you to hire us to carry out the commercial due diligence of the firm.

Interviewee Notes

- It is important to understand the brand properly before proceeding in terms of its USP and offerings.
- It is also crucial to understand the positioning of the brand as well as the current state of the segment to predict future growth.
- It is also better to be detailed in your analysis and clarify your assumptions for a due diligence problem in order to not miss out on the finer points.

Case Facts

- The chain is premium dessert chain offerings western delicacies like cheesecakes, brownies, pastries along with a few baked savory items and coffee.
- They prepare their desserts in central cloud kitchens and sell through either their stores/cafes or through online delivery via Swiggy or Zomato.
- They are mainly located in Tier I/II cities.

Approach/ Framework

Market Sizing

Use market-sizing (in terms of number of customers) to calculate TAM.

SAM = TAM * penetration rate
SOM = SAM * market share
Market Size (in monetary terms) = TAM/SAM/SOM * average order value

Target Population
India population (~140 Cr) × Urban (~35%) Upper-Middle & High-Income (~30%) = 98M.
Relevant age group (~40%) = 6 Cr.
Consumer Penetration=25%
Target customers = ~1.5 Cr.
Market Value with an average monthly spend of ₹400 per customer
Market size = ₹ 7000 Cr annually

Business Analysis

- Customer perception - willingness to pay, popular SKUs, and brand recall, order frequency, average order value (AOV), and delivery times
- Financial health metrics
- Operational efficiencies
- Risks or synergies
- Founder's role.

Market Growth

- Shift to western delicacies
- Experimental younger demographic
- Rising disposable income
- Rise of celebratory
- Ease of access due to emergence of online delivery platforms.

Operational Feasibility

- Competitors benchmarking and intensity
- Willingness to pay
- Number of stores to be opened
- Delivery infrastructure
- Planning and setup of dark stores/cloud kitchens.
- Product mix to be catered
- Performance marketing for brand awareness
- Sourcing of ingredients
- Hiring of staff.

Competitive Landscape

- Direct Competition – Smoor, Love and Cheesecake, Localised Bakeries
- Indirect Competition - Cafes (Subko, Third Wave, Starbucks, Blue Tokai), Online Substitutes

Recommendations:

- The chain is a well-positioned brand in the western dessert segment in India, which is likely to have a high growth potential albeit with high competition.
- The brand has balanced quality and price well enough to cement its position as a reputed name and show promise for further growth with multiple growth levers available at its disposal.

Key learnings:

The chain's success hinges on identifying affluent customer segments in Tier-1 and Tier-2 cities, tailoring its offerings to match local tastes, and strategically positioning its brand as a premium yet accessible option. Efficient delivery logistics, quality consistency, and scalability through dark kitchens and leveraging online delivery platforms are crucial for the chain's expansion.

PE Firm Investment Proposal for Sauce Manufacturer – Interview transcript

Your client is a PE firm wanting to buy stakes in a sauce manufacturing company which produces table sauces (tomato ketchup, mustard ketchup) and new age sauces (mayonnaise, subway sauces). However, the client wants to do a conditional investment asking the sauce company to focus only on one segment. Do a commercial due diligence and recommend which segment to focus on.

In order for me to arrive at a recommendation on the segment that the client should focus on, I'd like to create a due diligence framework which will be split into: pre-diligence, diligence and post-diligence. Is there a problem with this framework or should I proceed? Would you like for me to start with any specific aspect?

The framework seems fine. You can start in the order of due diligence i.e. pre-diligence.

Sure. Before I begin, I would like to ask a few clarifying questions. I want to understand the client's portfolio and what are its existing investments like?

The client has a mixed portfolio of different sized investments and has prior experience of investments in the food and agriculture sector. Currently, they have a diverse portfolio with investments across multiple sectors with some skewness towards consumer-focused brands. However, they do not have a thematic investment pattern and are sector agnostic in that sense. They are planning to enter the sauces market and are interested in buying a stake in this because it can potentially be a part of their portfolio and could generate revenues for them.

Alright. And what are the financial objectives of their investments?

The client plans its investments in such a way that they look to exit the investment in roughly 5-7 years. The objective is simply to maximize the growth of their investment. With respect to the sauce manufacturing company, the client plans to exit the investment in 5 years.

Okay, understood. Is there any minimum return expectation that the client has with respect to its investments?

The client expects its investment to grow by a minimum of 15% every year i.e. for its investment to double in roughly 5 years.

Alright. I would now like to focus on the sauce manufacturing company and ask a few questions regarding the potential investment. What is its market presence? Is it operating nationally or is the brand international?

The company operates in India. It operates in Tier-1 cities only having presence in the top 25 cities of the country.

Focusing more on the two segments, do we have the information regarding the revenue split between the table sauces and new sauces for the company? What are the rates at which the markets for these sauces are growing?

Good questions. The revenue is split 30:70 in favor of new sauces. The annual market growth rate for table sauces is 8% while the rate for new sauces is 15%.

Okay, that's interesting. What is the competitive landscape like in these segments?

The table sauce segment is largely dominated by the top 4 brands i.e. HUL, Nesle, Kissan and Maggi that capture roughly 55% market share. The rest of the 45% segment is fragmented with multiple players. Our client's potential target is one of those fragmented players having a market share of 8% and is the leader in terms of the multiple players. In terms of the new age sauces, the market has merely 7-8 players overall. There is a market leader with around 45% market share. Our client's target comes 2nd with around 18% market share, and the rest of the market is divided among 5-6 smaller players.

Okay, understood. So, from the revenue perspective, it seems that the sauce manufacturing company is clearly able to better sell the new sauces in comparison to the table sauces where established brands are dominating. What about the major cost heads for the company?

That's a good analysis. The major cost heads for the company are related to manufacturing and distribution when it comes to both the sauces.

Okay, is there anything that the company is doing in order to differentiate itself in either of the segments in terms of flavors?

Nothing of that sort. The company is dealing in generic popular flavors just like its competitors.

What are the pertinent problems that the company is facing in both these segments?

The company is not able to market its products well compared to competitors which have a robust marketing mechanism due to their presence in both Tier-1 and Tier-2 cities. Further, there is limited capacity for manufacturing, limiting profit potential.

Understood. Is this a listed public company or a private unlisted entity? Further, does the company have any debt outstanding?

It is a private unlisted company looking to raise an IPO in the next 3-5 years to be in line with its major competitors. The company does have debt on its balance sheet. However, it is not too large an amount.

Okay, and lastly, what are the profit margins like in both these segments?

The profit margins are healthy for both segments: 25% operating margin in the table sauce segment and 35% operating margin in the new sauce segment.

Based on the facts that we just discussed, I recommend that the client invest in the sauce manufacturing company in their new sauces segment for both operational as well as financial reasons. The industry is growing at almost double the rate of the table sauces industry. Further, the operating margins for the company are stronger in this segment. As the new age sauces also account for 70% of the revenue, the company can double down on its efforts in this segment. The company is also 2nd in this segment and currently lacks the marketing efforts that its competitor is able to take.

The manufacturing company could utilize the funds received from our client's investment to focus on their marketing and capacity expansion efforts in the new sauces segment. Further, the investment should be used for R&D and coming up with new flavors according to customer preferences and tastes which will help the company in differentiating itself in this segment and eat into the market share of the segment leader.

As the manufacturing company is anyway looking to raise an IPO in the next 3-5 years, this would serve as a great opportunity for the client to exit from the investment within its intended time horizon and achieve its investment objective.

Good analysis. I think we can end the discussion now. Your viewpoint was well thought-out.

PE Firm Investment Proposal for Sauce Manufacturer

You're a PE firm wanting to buy stakes in a sauce manufacturing company which produces table sauces (tomato ketchup, mustard ketchup) and new age sauces (Mayonnaise, Subway sauces). However, you want to do a conditional investment asking the sauce company to focus only on one segment. Do a commercial due diligence and recommend which segment to focus on.

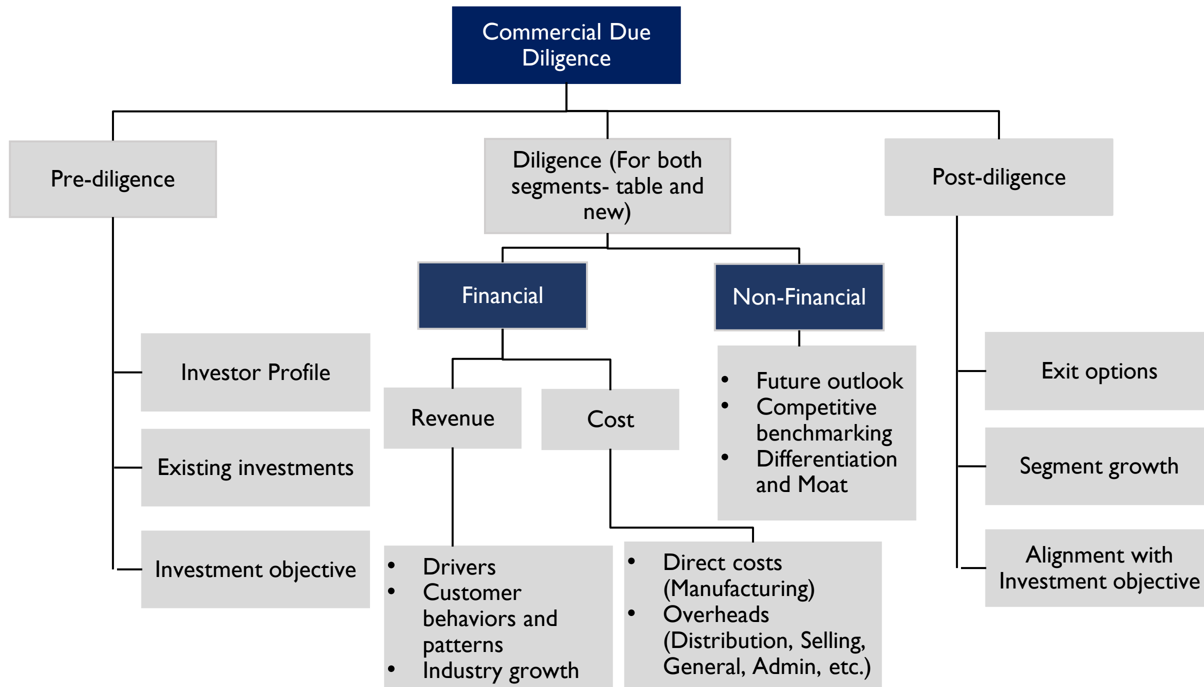
Interviewee Notes

- It is important to understand the rationale of the investment.
- The preliminary questions should cover questions about the client and the target company to get important case facts.
- It is essential to have a basic understanding of the private equity industry and the process of due diligence,
- It is important for the interviewee to link important case facts to subsequent answers.

Case Facts

- Objective for investment is to double investment in 5 years.
- 15% CAGR and a time
- horizon of 5 years.
- Major cost heads include manufacturing and distribution.
- No differentiation by the target in terms of flavors currently.
- The existing portfolio of the client has consumer-focused brands and the client has prior experience in such investments.
- The target company is unlisted and private.
- Profit margins and industry competitiveness.

Approach/ Framework



Observations & Suggestions

- Do a proper analysis of the competitive landscape to gauge the competitive edge of the target company and also look into the threats of new entrant specially a big player.
- Understand the operating model and the technology used of the target company to gauge the scalability of the business model.

Key Learnings

- In cases of due diligence and M&A, clarification questions are very important and adequate time should be given to get relevant case facts.
- The question about financial and strategic investment should have been asked in the beginning. Again, since time horizon was known beforehand, here case facts could have been linked better.
- It is important to think of synergies even between existing portfolio of the PE firm to the target company like potential technology transfer from companies in the portfolio operating abroad.

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Unconventional cases

Pointers to Remember

- Never try to force fit a framework
- Understand the problem really really well
- Ask the interviewer if you're unfamiliar with a particular industry, do not hesitate to ask questions
- If the industry is familiar, comparisons with companies you know about would help in providing recommendations
- Be as comprehensive as possible and hence bucketing the problems into different sections will help in structured thinking
- Can be looked at through 2 lenses – qualitative & quantitative (as a mathematical problem)
- Using the 3CP i.e., of Company, Customer, Competitor and Product approach works in certain cases, but focus on keeping the approach MECE
- In certain cases when the scope of the cases is broad, the interviewee should ask if the focus needs to be on a specific aspect to structure thoughts in that direction
- While scoping the problem, the interviewee can consider if there are competitors in the same industry and the strategies, they follow

Easy wins

- Breakdown into a mathematical formula
- Always remember Demand and Supply
- Any problem can have an internal cause (in control of company) or external cause. For external cause, use PESTEL to analyze possible issues

Illegal Drug Usage – Interview Transcript

Your client is a government body who is concerned about rising illegal drug usage among youth. Give your recommendations.

Sure, thanks. I would like to ask a few questions to help me understand the problem better. Please let me know if we have data about the timeline? Since when has this issue been rampant?

It is not a recent phenomenon. It has been an ongoing issue for the past few years. We do not have exact data on number of youth using drugs illegally in a year.

Next, I would like to better understand the problem better. Is it a problem pertaining to a particular state or it is a national issue?

Good question. This problem is not restricted to a particular state of the country, so you can consider this to be a national issue.

Okay! To give recommendations for illegal drug usage among youth, I would first look at an analysis of the current situation including the various data points that should be looked at. Then, I would look at the potential situation that could arise in the future and give recommendations accordingly.

That sounds fair. Let's move on with the first part then.

I see it as a supply-demand problem. Supply being the availability of illegal drugs through both domestic and international brokers and demand being the usage of the drugs by the youth.

Alright. That's good. Can you talk about the demand side first?

Focusing on the demand side, I'd categorize the demand based on the type of users i.e. potential users, current users and users who are already in rehabilitation. We can have a specific action plan for each kind of user and recommendations can be made accordingly.

Okay. Let's get to the recommendations later. Can you now elaborate on the supply side?

Okay! Speaking about the supply side, I would categorize the supply based on whether it is coming from domestic sources or from international sources. The problem of drugs is a pertinent issue across the globe and international and domestic trade, both are concerns.

Great. So, anything else in the analysis stage?

So far, we've looked at supply and demand at an aggregate level, but we also need to look at it in more detail in terms of the key drivers for each.

That is fine for now. We do not need to get into that deep an analysis. Let's start with the recommendation stage.

Sure, the recommendations can be broken down into short-term and long-term recommendations. Let me first talk from the supply side perspective. In terms of domestic supply, the main drivers that can be identified are tracking the supply in terms of monitoring the sewage lines where we can look for presence of byproducts as a result of drug manufacturing. The same is highly technical in nature and will need substantial investment and constant monitoring all over the country.

The second option is to track the purchases of the ingredients mix required for manufacturing such drugs. This can be done on a national level by giving strict directives to medical houses to not give these ingredients without a prescription, and / or to allow sale of these ingredients only through hospitals after having necessary prescriptions from the hospital doctors.
From the international standpoint, there should be greater focus on border patrolling, both in terms of roadways and waterways i.e. the two most common ways in which drugs are smuggled from abroad. Further, checking at the customs counters, especially at airports must be strengthened and random surprise checks of trucks and other transport vehicles must be carried out across cities and villages all over the country from time to time. I believe these are the short-term recommendations for this problem.

Good, these are fair points. What about the long-term recommendations for supply side?

From a long-term perspective, it would be better to analyze the problem from the PESTEL framework and look for the areas in focus, mainly political and legal, and the government ministry can think of passing stricter laws granting the anti narcotics bureaus all over the country with greater powers to exercise control over the borders and customs to prevent drug supply in the country.

Okay. What about the demand side?

As I already said, from the demand side, we can look at the users from three perspectives, mainly, current users, users already in rehabilitation and potential users. We can have an action plan for each of these users.

Can you elaborate on the recommendations for each of these?

From the short-term perspective, there have to be awareness programmes that need to be conducted in schools, colleges and universities across the country in order to educate and deter potential users of drugs from using them. In terms of current users, a robust medical network is necessary and hence boosting rehabilitation centres and having ample medications to treat the said addiction will be key. For the users who are already in rehabilitation, strict monitoring and control will be necessary in order to ensure that these users do not relapse and start using drugs again,

I think that is good enough for the short-term. Can you think of any long-term recommendations for the demand side?

The long-term recommendations would again be similar in terms of creating political and legal mechanisms that are conducive enough to create a social environment where illegal drug usage will be discouraged in the country. This will need evidence-based policy-making and deeper data insights than the ones we have right now.

Good, we can end the discussion here. Thank you.

Illegal Drug Usage

Your client is a minister who is concerned about rising illegal drug usage among youth. Give your recommendations.

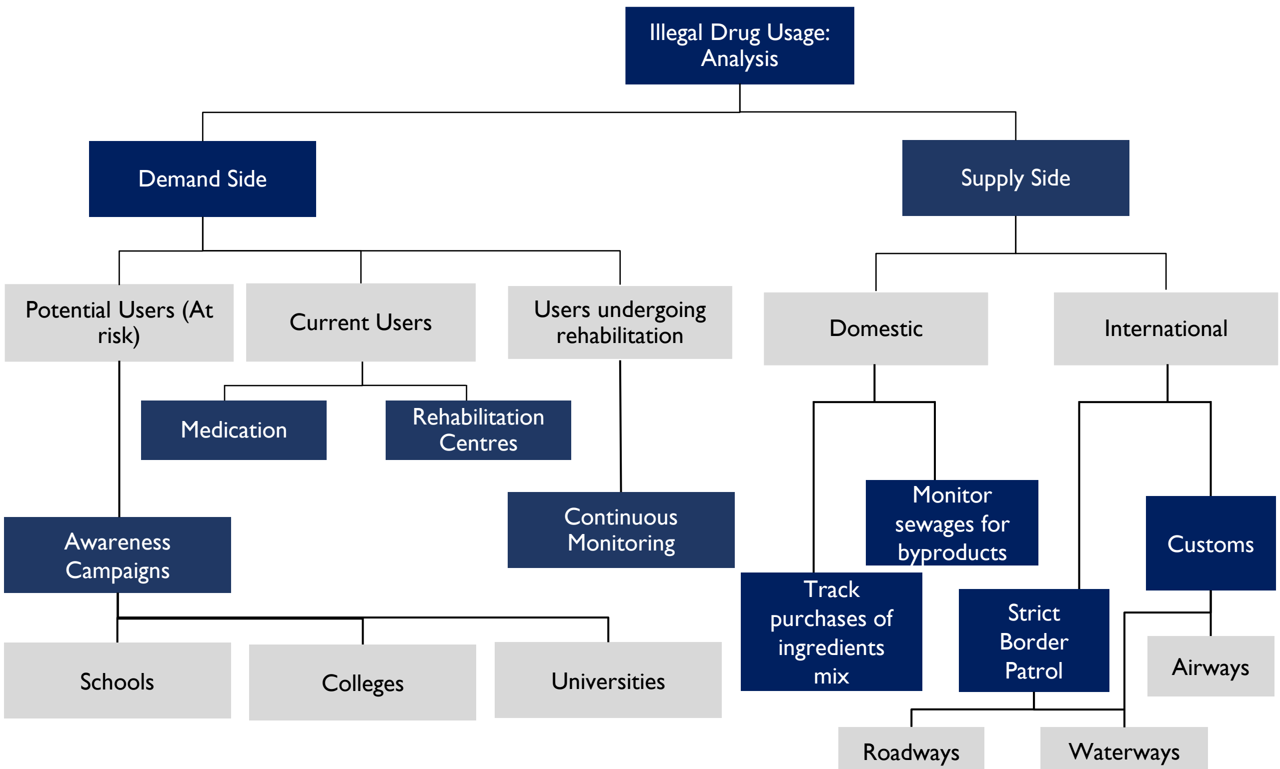
Interviewee Notes

- Important to start by understanding the various data points and the gravity of the issue (whether it is state-specific or nation-specific)
- Drug usage among youth is a function of two things: supply side and demand side.
- Cover all possible modes of raising awareness in analysis while speaking.

Case Facts

- The issue is not pertaining to a particular state; it is a national issue.
- Try to give recommendations from a short-term and long-term perspective.
- Bring in other frameworks such as PESTEL in your recommendations even if they may not explicitly be a part of the layout given on the right.

Approach/ Framework



Recommendations:

1) Raise awareness campaigns for the youth in schools, colleges and universities to curb demand issue.
2) Stricter checks and border patrolling for international supply issues.
3) Track purchases of ingredients mix and monitor sewages for tracking release of byproducts during manufacturing of drugs.

Key learnings:

1) Continuously sharing your hypothesis along with questions can lead to much quicker analysis of the case.
2) Using the demand-supply framework to bring structure in an unconventional case is important.

Price Increase Decision for Equipment Manufacturer – Interview Transcript

Your client is an electronic components manufacturer. They are evaluating if they should increase their prices by 10% and want your help to decide the same.

Sure. Before beginning the assessment, I have a few questions to understand the client and industry better. Firstly, could you help me understand why the client is looking to increase prices – is it purely for financial reasons? What types of products does the client sell and who are its customers?

The client feels they can improve their revenues and profit and wants to increase their price. The client only manufactures and sells one product, i.e., transistors. It sells the product to both B2B and B2C customers.

All right. Are the products similar for B2B and B2C customers, or are there differences? How does the client sell to each segment?

Both products are similar in terms of functionality. However, B2B transistors are larger in size. The client sells the product to distributors who then seem to the respective markets.

Okay. Could you also help me understand the industry dynamics? How does the client fare in the market? How does the client's product stack up against that of competitors?

In the industry, there few players are currently operating. However, the top 3 players capture a large share. Our client is one of the top 3 players in each segment. Regarding the product, the client and competitor products are broadly similar.

Okay, I think I have a fair understanding of the situation. I will ask any further questions as we approach with the assessment.
So, given that the client is pursuing this price increase primarily from a financial motive, I would look to assess this decision from 2 lenses:
1) Financial impact of price increase on revenues and profits
2) Once we have assessed the financial impact, I would like to consider any non-financial aspects that may be relevant.

This sounds fair. Let begin with the financial assessment.

To proceed with this, I would like to understand the client's current prices, volumes, and cost structure (fixed and variable) for each segment. Do we have any information regarding the same?

Yes, we do have information regarding this.
For the B2C segment – the client prices the product at ₹ 1000 per unit. Its current sales volume is 1,20,000 units per year. Variable costs per unit stand at ~40% of sales price. Fixed costs are ₹4,00,000 per annum.
For the B2B segment – the client prices the product at ₹ 1,00,000 per unit. Its current sales volume is 1000 units per month. Variable costs per unit stand at ~50% of sales price. Fixed costs are ₹4,00,000 per annum.

Great based on this information, I can gather that revenue mix between B2B and B2C segments is skewed towards the B2B customers (10:1 ratio). To assess the impact of a 10% price increase, I would like to understand how sales volume would change due to price increase. Since competitor products are similar, a price increase would likely make some customers shift to competitors leading to a decline in sales. However, the quantum of change depends on the price elasticity of each segment.

I would assume that B2C customers may be more price-sensitive, and we may see a larger volume decline in that segment. Do we have any information on the price elasticity? Additionally, would any of the costs change due to price increase?

Good observation. Yes, we have a fair idea about the price elasticity. For the B2C segment, the elasticity is -1.2 and for the B2B segment it is -0.8. The costs will remain the same.

All right. Since the elasticity of the B2B segment is lower than -1, it would imply that the % volume decline is less than the % increase in price, indicating higher revenues. Furthermore, since the B2B segment comprises >90% of the revenue, total revenues will increase even if prices are increased in both segments.
To be exact, at a monthly level, B2B segment revenues will increase by ₹12,00,000, with sales volume decreasing to 920 units. In contrast, in the B2C segment, revenues will decrease by ₹3,20,000, with sales volume decreasing to 8,800 units per month. Therefore, overall revenue increases by ₹8,80,000/ mo (considering simultaneous price increases).
I would like to proceed with assessing its impact on profits. Do you have any questions here?

No – your analysis looks good. Let move towards assessing profits.

So, since fixed cost remains the same after price increases, the only change in profits would be driven by a change in contribution margin (sales – variable cost). Based on the available data, at a monthly level, the contribution margin for the B2B segment increases by ₹ 6,00,000, indicating higher profits. In contrast, for the B2C segment, the contribution margin decreases. Based on the available data, at a monthly level, the contribution margin for the B2C segment decreases by ₹ 1,92,000, indicating declining profits.
Assuming simultaneous price increases across segments, profits for the company would rise.
Does this sound fair?

Yes – this looks good. What would be your final recommendation based on financials?

Based on the analysis, I recommend the client to go ahead with the 10% price increase since it increases both revenue and profit.
While most of the analysis was done considering price increases in both segments, if the firm has the option only to increase prices for only one segment, then I would recommended increasing prices only for B2B customers and keeping prices constant for B2C customers.

Sounds good. Is there anything else that you would want the client to consider here?

As highlighted earlier, we should explore non-financial considerations regarding this decision. One key consideration is that since products in the market are homogenous, if competitors also have a similar cost structure, they may also look to increase their prices to take advantage of higher profits.
Interestingly, the homogenous nature of the products, along with the inelastic demand, also provides an opportunity to collude with other players to raise prices in the B2B segment.
However, increasing prices and potential for profits may cause new entrants to enter the market to capture these profits.
Increasing prices in the B2B segment may also hurt customer relationships if price increases become frequent. As relationships matter for B2B sales, this may hamper sales.

Great. We can close the case now. Thank you for your time.

Price Increase Decision for Equipment Manufacturer

CONSULT CLUB

Your client is an electronic components manufacturer. They are evaluating if they should increase their prices by 10% and want your help to decide the same.

Interviewee Notes

- Ask for questions to try and understand the company, product, and customers better. Helps narrow down the problem and also simplifies problem solving as the case progresses.
- Ask for financial data; understand how it varies with changing prices
- Key was identifying difference in elasticities across segments
- Keep note of the unit and time period. Use consistent units and time period for all calculations.

Case Facts

- Electronic equipment components manufacturer
- Objective for 10% price increase is primarily financial improvement
- Sells only transistors to B2B and B2C customers; B2B product larger in size
- Client is among top 3 players in the market; Competitors have similar products
- Financial data
  - B2B: Price - ₹1 L; Current vol - 1.2L / year; VC – 50% of price; FC - ₹ 4L; elasticity: (-0.8)
  - B2C: Price - ₹1 K; Current vol - 1K / month; VC – 40% of price; FC - ₹ 4L; elasticity: (-1.2)

Approach/ Framework

- Price increase
  - Financial
    - Revenue
    - Profits
  - Non-financial
    - Competitor action
    - New entrant threat
    - Customer relationship

Data	B2B (o)	B2C (o)	B2B (n)	B2C (n)
Price (₹/ unit)	1,00,000	1,000	1,10,000	1,100
VC (₹/ unit)	50,000	400	55,000	440
FC (₹/ mo)	4,00,000	4,00,000	4,00,000	4,00,000

Monthly values	B2B	B2C	Total
Current sales vol	1,000	10,000	
Current revenue	₹ 1000L	₹ 100L	₹ 1100L
Current CM	₹ 500L	₹ 60L	₹ 560L
New sales vol	920	8,800	
New revenue	₹ 1012L	₹ 96.8L	₹ 1108.8L
New CM	₹ 506L	₹ 58.08L	₹ 564.08L
Δ revenue	**₹ 12L**	**₹ - 3.2L**	**₹ 8.8L**
Δ CM	**₹ 6L**	**₹ -1.92 L**	**₹ 4.08L**

Since fixed cost are same after price increase, an increase in CM would lead profits increase. Hence CM has been calculated above.

Key learnings

- For data such as elasticity, while it is fair to ask for information from the interviewer, try to provide an answer first/ hypothesis of how elasticity may vary
- Do not hesitate in asking for data from the interview, however, please have a clear rationale for asking the same and how it fits in the interview
- Discussion non-financial implications briefly towards the end, even in a financials focused case, highlights comprehensiveness. However, please take a call on this depending on how the interview progress.
- Qualitatively provide insights based on logic (e.g., revenue increase given the mix and elasticities) prior to quantitative validation, highlights strong grasp on concepts and clarity of thought.

Market Share Growth – Interview transcript

You are the CEO of NPCI and the Government wants you to launch BHIM UPI 2.0 app to command 5% market share as opposed to 0.1% the current BHIM app has in the UPI Payments space. How would you approach this?

I would like to confirm that the objective is to increase market share from 0.1% to 5% in the UPI payments space. Is there any other objective?

No other objective.

Understood. Before diving deeper into the problem, I have a couple of questions to better understand the context. What is the expected timeline for achieving the 5% market share goal?

We want to achieve this target in the next 3 years.

Who is the primary target audience for BHIM UPI 2.0? Are we focusing on urban users, rural populations, or both?

We are looking to focus on semi-urban and rural populations.

I understand our main competitors are Google pay and Phone pay. They are targeting urban markets so it does make sense to target semi-urban and rural markets. Do we have data on the challenges faced by the current BHIM app?

Feedback indicates that the current app lacks advanced features, suffers from higher transaction failure rates, and has limited visibility.

Got it. Are there any constraints, such as budget or regulatory requirements, that we should consider?

Cost efficiency is important, but there are no strict budget constraints.

I have enough information to structure the problem. I'd divide it into five areas:
1. Market Segmentation and Targeting
2. Product Enhancements
3. Partnerships and Ecosystem
4. Marketing and Awareness Campaigns
5. Operational Excellence

Okay. I'd like to know what you'd cover in each of these.

Market Segmentation and Targeting – We have already identified semi-urban and rural focus. In terms of demographic segments within these areas, we can focus on underserved groups such as small shopkeepers, farmers, and lower-income households who would benefit from adopting digital payments.

That's aligned with our observations. Please proceed.

Next under product enhancements, I'd suggest enhancing the app in terms of A) Trust & Reliability and B) Feature addition.

All right, let's dive deeper into that.

We can enhance the trust and reliability of the app by ensuring near-zero transaction failure rates as transaction success is the key parameter for reliability. This can be achieved by strengthening the infrastructure. Additionally, in our marketing initiatives, we can highlight NPCI's credibility as the governing body behind UPI for security reassurance.

What features would you add?

Features suited for rural market, for example, Regional Language Support, Voice-Assisted Transactions and Simplified User Interface, can be added. Offline payment options like QR-based payments without internet connectivity can be enabled. Also, Financial product bundling can be another strategy to achieve growth with feature addition. Relevant offerings like insurance, microloans, and small savings schemes can make the app more appealing.

That sounds good. Let's cover the other areas.

Next, I'd like to cover 'Partnerships and Ecosystem'. To increase adoption of the app, merchant partnerships are required to be scaled. We can promote the app to local merchants and shopkeepers by offering exclusive discounts, cashback, or loyalty points for app users. Additionally, we can tie up with rural banks, microfinance institutions, and government welfare schemes to integrate BHIM as their default payment option.

That's a strong point.

Next area is Marketing and Awareness. I have three ideas A) Localised campaigns – we can create advertisements in vernacular languages with relatable, culturally appropriate messaging to reach diverse audiences in semi-urban and rural areas.
B) Educational Initiatives – We can conduct on-ground workshops and training sessions for merchants and consumers to build confidence in digital payments.
C) Incentive programs – We can launch programs like referral bonuses, cashback offers, and merchant-specific discounts to encourage app downloads and usage.

Yes, that's how we would typically market BHIM for our target segment. What about Operations?

The last area is operational excellence. In order to scale with near zero failure rates, we need to upgrade the backend systems to handle increased transaction volumes without downtime.
We also need to establish multilingual customer support channels to assist users in resolving issues quickly, especially in rural areas.

I think we have covered all relevant points. Now, can you suggest a roadmap to achieve the desired growth?

In year 1, we should focus on product reliability and targeted awareness campaigns in pilot regions. We should also focus on building partnerships with local merchants and financial institutions.
In year 2, we should expand partnerships and marketing to cover a broader geographic area. This would be a good time to introduce new app features and incentivize merchant adoption.
Finally, in year 3, we should scale operations fully, by leveraging the insights gained from the first two years. Focus should be on retaining users and improving engagement with loyalty programs.

That's quite comprehensive. We can close the case. Thank you!

Market Share Growth

The client, NPCI, aims to scale BHIM UPI 2.0's market share from 0.1% to 5% in the UPI payments space and is seeking a comprehensive approach to achieve this target.

Interviewee Notes

- Analyze the reasons for BHIM UPI's underperformance
- Identify stakeholders involved in driving UPI adoption
- Plot the adoption process
- Consider NPCI's capabilities and constraints
- Give recommendations and roadmap to achieve the desired goal

Case Facts

- Current market share of BHIM UPI: 0.1%; target: 5% in 3 years.
- Target audience: semi-urban and rural populations.
- Low digital literacy and trust issues hinder adoption in semi-urban and rural areas.
- Competitors (e.g., Google Pay, PhonePe) dominate the market with higher adoption rates.
- Challenges due to lack of advanced features compared to competitors, high transaction failure rates and limited visibility

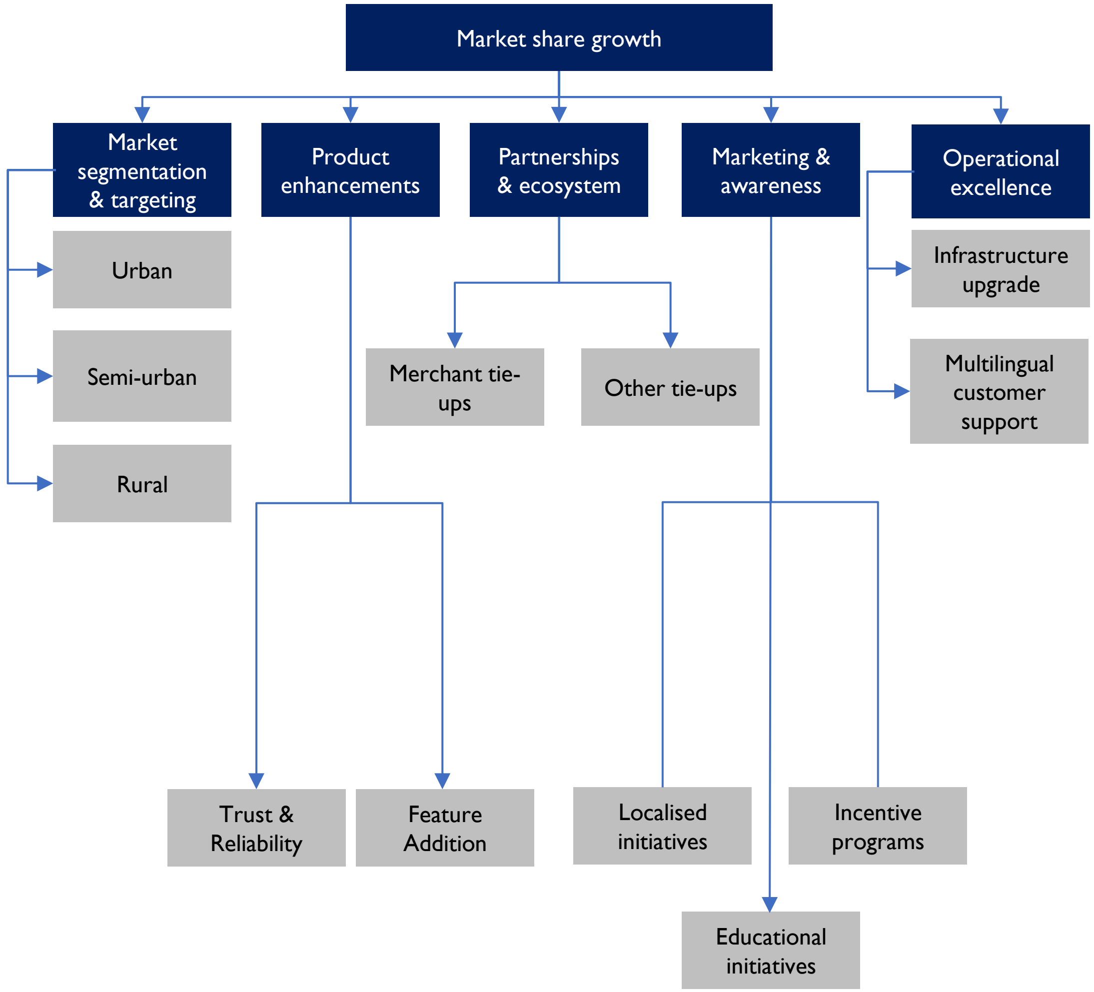
Recommendations

- Enhance product features and multi-lingual support.
- Upgrade technical infrastructure to reduce transaction failures.
- Launch targeted marketing campaigns to promote BHIM UPI with localized content.
- Introduce incentive programs
- Establish partnerships with local businesses
- Strengthen customer support with 24/7 helplines

Key Learnings

- Break down the problem into manageable components, such as product, marketing, and partnerships.
- Prioritize data analysis to identify root causes of low market share.
- Develop actionable, resource-efficient recommendations aligned with the client's capabilities.
- Communicate solutions clearly and structure implementation plans for measurable outcomes.

Approach/ Framework



Increasing Women's Workforce Participation – Interview Transcipt

Your client is an Indian policymaker who wants to increase women's participation in the workforce. How would you approach this problem?

That's an important and multifaceted problem. To begin with, I would first break down the workforce into two overarching categories: the public sector and the private sector. From there, I would identify specific occupational categories within each. This will help us determine where women are underrepresented and what targeted interventions can be applied. Does that sound like a good place to start?

Yes, that sounds logical. Could you elaborate on how you would categorize these sectors?

Certainly. In the private sector, I would look at corporate jobs, entrepreneurship, manufacturing, NGOs, and freelancing or the informal economy. Agriculture is an interesting case because it straddles both private and informal employment, so I'd address it as its own category later. In the public sector, I'd focus on roles in government and policymaking, as well as any public enterprises that employ a significant portion of the workforce.

Good structure. Let's start with your broader analysis. How would you break this down across these categories?

For the private sector, corporate jobs involve structured organizational roles, often in industries like IT, banking, and consulting, where there are barriers like work-life balance and leadership opportunities for women. For NGOs, the one additional aspect would be the amount of opportunity there is to create positive social impact. Entrepreneurship includes women starting businesses, where the focus would be on access to funding, mentorship, and business training. Manufacturing typically involves factory work, where issues like workplace safety, fair wages, and equitable hiring policies are critical. Freelancing or the informal economy, which encompasses women monetizing skills like tailoring or home-based services, requires addressing financial literacy and creating digital platforms for women to find opportunities. Does this sound reasonable?

Yes, sounds good. You can move on to other sectors.

For agriculture, though it is technically private sector, it has a significant informal component, and the challenges here include access to credit, technical knowledge, and market linkages. In the public sector, I'd consider increasing women's representation in policymaking, administration, and public enterprises by creating reservations and supporting their professional growth.

That's quite detailed and well structured. If you were to provide a high-level strategy for each, what would that look like?

For corporate jobs, I'd focus on flexible work policies, mentorship, and leadership development. For entrepreneurship, the key would be funding access, business training, and mentorship programs. In manufacturing, workplace safety, gender-neutral hiring, and tax incentives for inclusive employers would help. For freelancing and informal work, I'd recommend building online marketplaces and providing financial literacy programs. In agriculture, microcredit schemes and skill-building workshops would be effective, and for the public sector, increasing representation and providing targeted reservations would work well.

That's a good overview. Let's narrow the focus to corporate jobs and entrepreneurship. How would you analyze these two?

For corporate jobs, I'd use a lifecycle analysis. This approach divides the workforce journey into stages: pre-employment, recruitment, retention, progression, and re-entry. For entrepreneurship, I'd apply the AMO framework, which evaluates the barriers to women's participation through their ability, motivation, and opportunity. Should I begin with corporate?

Yes, go ahead with corporate.

Corporate workforce participation starts with pre-employment. Here, the main issue is gender bias in education and lower enrollment in professional fields like STEM and management. The solution lies in encouraging women to pursue these fields through scholarships and awareness campaigns. In recruitment, biases during hiring processes can be addressed by training HR professionals and implementing diversity hiring quotas. Retention is another critical stage, where barriers include a lack of work-life balance, insufficient maternity benefits, and safety concerns. Flexible working hours, childcare facilities, and workplace safety programs can tackle these issues. In progression, women often face the glass ceiling and a lack of mentorship. Leadership development programs and formal mentoring structures would help. Finally, in re-entry, many women struggle to return after career breaks. Returnship programs and re-skilling initiatives can address this.

That's quite thorough. Now, let's move to entrepreneurship. How would you apply the AMO framework here?

Entrepreneurship can be analyzed through three lenses. First, ability, which refers to the skills and knowledge women need to succeed. The barrier here is a lack of business training and financial literacy. Offering targeted workshops on business management, accounting, and digital marketing can address this. Second, motivation, which involves overcoming societal stigma and inspiring women to become entrepreneurs. Featuring successful women entrepreneurs in campaigns and creating visible role models can boost motivation. Third, opportunity, which revolves around access to resources like funding and networking platforms. Women-focused venture funds and exclusive networking events can ensure they have the opportunities needed to start and grow their businesses.

Excellent. You've identified detailed strategies for both contexts. How would you recommend implementing these?

In the short term, for corporate jobs, I'd pilot flexible work policies in selected companies and introduce mentorship programs. For entrepreneurship, I'd host financial literacy workshops and create a women-focused venture capital fund. In the long term, for corporate, mandating diversity hiring quotas and establishing government-backed leadership programs would institutionalize progress. For entrepreneurship, promoting women-specific funding schemes through public-private partnerships and institutionalizing mentorship platforms would create lasting impact.

That's a great recommendation. I think we're done here. Thank you!

Increasing Women's Workforce Participation

Your client is an Indian policymaker who wants to increase women's participation in the workforce. How would you approach this problem?

Interviewee Notes

- Clarify the Problem Statement and structure the solution. Break workforce participation into public and private sectors, then further into sub-sectors like corporate, entrepreneurship, manufacturing, etc.
- When asked to focus on Corporate and Entrepreneurship, use relevant frameworks such as lifecycle analysis for corporate, AMO framework for entrepreneurship, etc.
- Prioritize practical solutions and ensure given recommendations are actionable within the socio-economic and cultural context.

Case Facts

- Women's workforce participation in the country is currently below global and regional averages
- Focus narrowed to corporate jobs and entrepreneurship for detailed analysis

Approach/ Framework

- Workforce
  - Private Sector
    - Corporate Jobs
    - Entrepreneurship
    - Manufacturing
    - Freelancing / Informal Work
    - NGOs
  - Agriculture
  - Public Sector
    - Reservations in policymaking
    - Leadership development programs

Corporate Sector (Lifecycle Analysis)

Pre-Employment	Recruitment	Retention	Progression	Re-entry
Promote STEM and management courses via scholarships and awareness campaigns	Mandate diversity hiring quotas and train HR to address unconscious bias	Provide paid maternity leave, childcare facilities, and flexible work options	Implement leadership development programs and formal mentorship structures	Launch "returnship" programs and re-skilling initiatives

Entrepreneurship Analysis (AMO Framework)

	Ability	Motivation	Opportunity
Barrier	Lack of business skills and financial literacy	Social stigma and absence of role models	Limited access to funding and networking platforms
Strategy	Conduct workshops on business management, accounting, and digital marketing	Highlight successful women entrepreneurs through campaigns	Establish women-focused funding schemes and exclusive networking forums

Recommendations

- Pilot flexible work policies in corporate jobs and host financial literacy workshops for entrepreneurs.
- Promote government-backed funding initiatives for entrepreneurship. May also partner with private players to launch government-backed venture capital funds focusing on women entrepreneurs.
- Create public-private partnerships to promote workplace inclusivity and safety in manufacturing and agriculture.

Key Learnings

- It is important to break down the workforce into public and private sectors ensures clarity and targeted interventions.
- Leveraging tools like lifecycle analysis for corporate roles and AMO analysis for entrepreneurship provides a clear, MECE framework to identify root causes and craft actionable solutions.

Oil Marketing PSU – Interview Transcript

Your client is an Indian oil marketing PSU. They want to grow their non-fuel revenues. How should they go about it and what operating model should they adopt?

What does non-fuel revenue entail? And why is the client seeking non-fuel revenue?

Non-fuel revenue primarily comprises the retail outlets that are run at petrol pumps. Internationally, such stores generally sell coffee, cigarettes, liquor, food items and some auto supplies. It's like a convenience store. But in India you can't sell liquor at petrol pumps. The client is interested in this because fuel sales in India have very low margins while non-fuel retail has much higher margins.

Got it. Fuel sales are high volume but low margin, so the client wants to boost profitability through this subsidiary revenue stream. I'd like to know a bit more about the client. What is their geographic presence like, and what is the current state of their non-fuel operations?

They are one of the largest oil marketing companies (OMCs) in India and have over 1 lakh petrol pumps across the country. They have non-fuel retail at 20 pumps and want to grow 100+ such outlets per year going ahead.

Is there any pattern to these outlets – do they focus on certain types of pumps or geographies? What is the assortment they focus on? And how are they performing?

These outlets are distributed across the country and types of pumps. The assortment is like any general convenience store, but it has not been finalized yet. These stores are at a trial level right now, and we don't have any results yet. You can think from first principles.

Okay. My hypothesis is that these stores will primarily cater to impulse purchases and refreshment needs, and perhaps day-to-day general purchases. What are the different types of pumps of the client?

You can broadly think of them as 2 types: highway pumps and intra-city pumps.

And what is the market landscape like in non-fuel retail. What do other players do?

It's fairly new as a concept in India. Many petrol pumps have shops and *dhabas* around them, but rarely as part of the pump itself.

Okay. So just to reconfirm, the client wants our recommendation on how to grow its revenues from these non-fuel outlets on its petrol pumps.

Yes.

They can achieve this growth through organic or inorganic means like partnerships and acquisitions. Do they have any preference at this stage?

Broadly organic, but you can consider different models within it.

Okay. So, within organic growth, they can grow revenues in the existing categories that they sell or explore newer product categories. Since this is a new concept, I'll focus on the existing categories first. Here, they can look to grow their revenues in the existing markets they are trialing at present or through expansion into other markets.

Don't give me this marketing framework of product-market for growth. I want to know how the client should incorporate non-fuel retail into its operations and what operating model it should have for these stores.

Okay. I would break this down into three dimensions: which pumps to add NFR to, the operating model, and the service delivery approach. Does that sound like a good approach?

Yes, you can start off with this and then develop it as you go along.

For target pumps, we can classify these based on two dimensions: geography and customer segments. We can then evaluate their typical customers based on 4 factors: need for non-fuel consumption, time availability, spending capacity, and presence of alternatives. On the geography dimension, it would be better to focus on highway pumps instead of intra-city – their customers have a strong need for refreshments and food, have significant time at hand, and there are typically limited alternative options available. Within this, the client could consider prioritising highways connecting Tier-2 cities. Their travellers should have decent spending power and the competition as saturated as on highways connecting Tier-1 cities where there are large stopping points already established.

Okay. So, petrol pumps on highways connecting Tier-2 cities.

Yes. Further, they can also target specific customer segments within that. This has implications for both the target pumps and the assortment. Petrol pump customers will either be commercial drivers like truckers, or normal passengers like cars. The client should prioritize normal passengers as they have will have much greater need for impulse or discretionary items, higher spending capacity and lesser time pressure. Truckers have a guaranteed need for food, but they would look more for meals than snacks. Accordingly, we can prioritize deployment to pumps on routes that see greater passenger traffic. Over time, as capability develops and basis resource availability, the client can look to expand to full-fledged break stops and target Tier-1 city highways too.

Sounds logical. Now, what model should these stores run on?

Retail outlets can broadly be of two types: own operations and franchise operations. Are both of these available options here?

Yes. There are three possible models: company owned & company operated (COCO), company owned & dealer operated (CODO) and dealer owned & dealer operated (DODO).

Okay. There are three parameters that need to be evaluated here: control, cost and capability.

1) COCO will give full operational and brand control, but also high costs. Further, there will be a major capability gap – running retail outlets, particularly in grocery or food & beverages, is not an area of existing competence for an oil marketing company.
2) CODO should give decent operational and brand control through standardized processes and brand guidelines, while bringing in retail expertise and assortment localization. Costs will also be lower with most of the operating costs being outsourced.
3) DODO will have the least control and risks brand dilution and brings in revenue-generation risk from dealer resistance. At the same time, it will have the least cost and outsource the retail operations.

I feel the client should adopt a CODO model – it will give control, be scalable, and bridge capabilities.

And then how will the outlets run under CODO?

That brings us to the service delivery approach, comprising the process approach and organization design. I'll cover both together for each value chain step. The value chain will comprise assortment planning, sourcing, logistics, and store operations, with a supporting function for infrastructure.

Oil Marketing PSU – Interview Transcript

Sure. You can elaborate on them one-by-one.

I would break the assortment and its planning into two buckets – food & beverages, and non-edibles. F&B can be further broken into packaged and non-packaged. Packaged can comprise standard snacks and drinks, while non-packaged would be quick-service items like tea & coffee, sandwiches, samosas, and so on. Non-edibles can be cigarettes, auto supplies, travel accessories, and so on.
F&B will have significant regional variations in demand. So, it would be better for the client to define the overall range but let the operator decide the exact assortment within it. For non-edibles, there may be some brand differences, but the categories themselves should largely be consistent. The client should keep this in-house to leverage scale economies in sourcing.
Does this structure sound good? Because, assortment will influence the other value chain steps.

Yes. This is a good assortment structure. You can proceed to the other elements.

1) Coming to sourcing, the non-edibles can directly be procured from respective brands at a national level through an account management team. In F&B, packaged items can also be procured nationally by aggregating demand, but non-packaged should be with the operator since both supply & demand are localized.
2) Logistics will comprise warehousing and transportation. The client will need to set up its own warehouses for packaged F&B and non-edibles. Non-packaged F&B won't need significant storage and can be stored directly in the stores. Transportation can either be done using the client's fleet or outsourced based on existing capacity and the economics.
3) Store operations will be at a national and store level. At the national level, the client will need to have a dedicated NFR store management team to coordinate operations and systems, monitor SOP adherence, and oversee any issues as well as growth opportunities. They will also need a training team to train the dealer's employees on the SOPs and brand guidelines. At the store level, operations can be broken into packaged items and non-packaged. The packaged team will primarily focus on shelf management, inventory and visual merchandising, while the non-packaged team would cover both preparation and service.
4) Infrastructure creation can be done by the client in-house as they will already have those teams for petrol pump expansion. However, they will need to add a dedicated team for store design and space planning.

That was really comprehensive! I think that sounds like a good model.

Thanks! This is an approach they can follow for the organic CODO model. However, there's also an alternative partly-inorganic operating model that they can explore, which is to partner with a convenience store chain to operate the NFR outlets.

Why would the client want to do that?

It's a win-win model in that the client provides retail opportunities and space to the partner while they bring expertise. On our three parameters:
1) Control: While the client will have less direct control, the operations themselves will be much better controlled and organized, providing consistency across outlets and reducing brand risk.
2) Cost: Much of the operations can be outsourced in this case, further lowering costs. However, the downside is that a single partner will get more bargaining power, reducing revenue share for the client. The client will need to see which way the balance tilts.
3) Capability: This model will provide the best capability, with outlets now run by a retail expert.

Makes sense. That's a great idea! How would operations run under this model?

Given the partner's retail capabilities, it would make sense to outsource the entire assortment planning, sourcing, and store operations to them. For these, the client could define overarching guidelines and mandates as part of the partnership agreement but leave the operational details to the partner. Store design may also be done better by the partner. The actual infra setup as well as logistics can be handled either by the client or by the partner based on their unit economics.

These operating plans make sense but won't they bring too much fixed costs and thereby risk on to the client?

Yes, that is true. Since the outlets are all company-owned, capex will be high posing a breakeven risk given this is still a new concept. There are two ways to mitigate it:
1) Let the dealer or partner take on infrastructure creation too, with the client only providing layout specifications. This will reduce fixed costs at the expense of revenue share.
2) Do a phased roll-out, state- or region-wise, containing the sunk costs should the concept not work out as well as thought. This will also reduce the overhead of warehouses and so on needed up front during the initial stage.

Awesome. We can end the case here.

Oil Marketing PSU

Your client is an oil marketing PSU. They want to grow their non-fuel revenue and want your inputs on how to go about it, particularly where they should grow and what operating model they should follow.

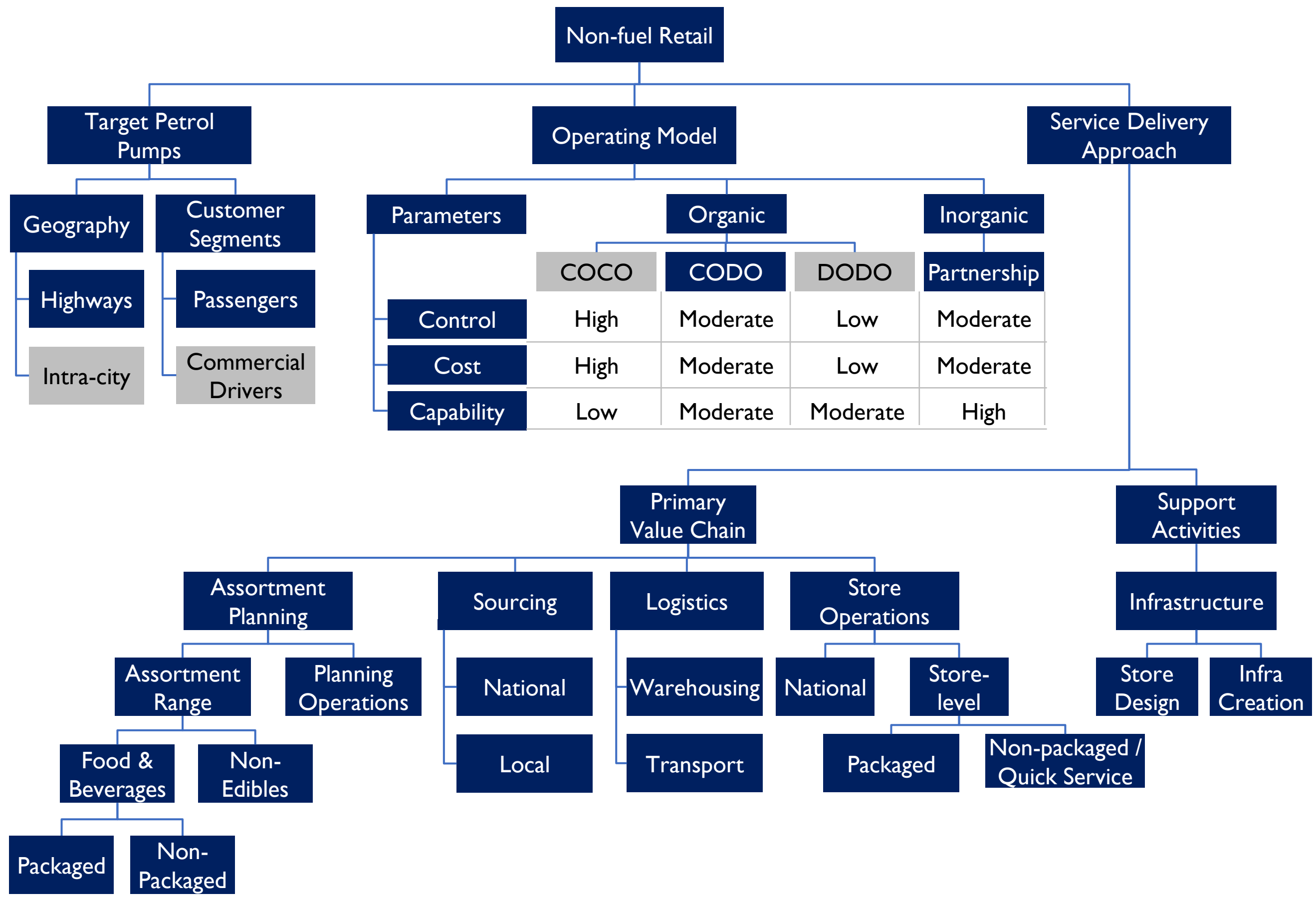
Interviewee Notes

- Non-fuel retail = convenience store at petrol pumps.
- COCO, CODO, DODO are all organic. Consider inorganic?
- Oil marketing company unlikely to have grocery retail competence.
- 4 parameters for target pumps: non-fuel consumption need, time availability, spending capacity, competition

Case Facts

- Client wants non-fuel retail because it is higher margin.
- Client has 1 lac petrol pumps; NFR being piloted at 500.
- No data from pilot.
- Grow 100+ stores per year.
- Fuel pumps of 2 types: highway & intra-city
- 3 operating model options: COCO, CODO, DODO (D=Dealer)

Approach/ Framework



Recommendations:

1) Target petrol pumps on highways connecting Tier-2 cities and having high passenger traffic.
2) Go with a CODO or partnership operating model, outsourcing retail-specific activities and consolidating planning, sourcing, and logistics as far as possible for scale economies.

Key learnings:

1) Be flexible to change approach during the case and be mentally prepared for lack of data.

Commercial Vehicle Loan – Interview Transcript

A microfinance company is diversifying into the commercial vehicle loan segment. Design the approval mechanism for the new scheme, keeping an individual in mind.

I would first like to understand the current business of the client and why they are planning to diversify.

It's a pan-India company that provides loans to SMEs and individual businesses. Now they want to extend that to commercial vehicles like mini-trucks for category expansion.

What kind of customer segment is the company targeting? Is there any constraints that we put on customers?

Let's focus only on individual customers. If anyone walks up to us, we will evaluate their application. Tell me how you are going to evaluate such applications.

Analysis can approached in two parts: Individual's ability to pay back and risks attached to the person. The ability to pay back is dependent on income and expenditure of the person.

Let's explore the risk part first.

We can look at an individual level and cluster level. We can check the past credit history and existing loans and use analytics at cluster level to find if the person may default. Analytics can be performed using existing data with the company.

Good enough. Going further, let's focus on an individual and decide if we should give out loans.
This person takes vegetables from a large farmer and sells it in mandi. He is planning to buy a mini truck worth Rs.6 lakhs. He will pay Rs.1 lakh as down payment and has come us to lend him the remaining Rs.5 lakhs. How do we decide?

Sure. So, I will try to understand his ability to pay us back. This will constitute assessing his/her income and expenditure, also the time duration and interest rate of the loan. Is reselling of vegetable the only source of revenue for this person?

Yes, this is the only source of income. We expect them to pay back in 5 years with 10% annual simple interest rate.

I would like to start with calculating his revenues. The monthly revenue can be divided into two parts: Average income per trip and number of trips per month. Do we have information about these?

Yes, he earns around INR 2000 per trip and does 25 trips in a month.

Perfect. This means, they earn INR 50,000 (INR 2000 * 25) per month. Next, I can look into the expenses. This can be further broken into professional and personal expenses. I would like to start with professional one first.

Sure, go ahead.

The professional costs can be broadly categorized as Fuel costs, Maintenance and Insurance costs related vehicle and some additional labour costs for vegetables loading-unloading. Fuel cost can further be divided in the distance times number of trips per month times average fuel prices per km.

Let's ignore the labour costs and club rest of the expenses as variable cost of INR 22 per km. The mandi is 25 kms away.

That means for 50km to and fro daily trip, the monthly professional costs are INR 27500 (50km * INR 22 per km * 25 trip in a month).

That's, right.

Next we can look at the personal expenses. How many members are there in his family? Do others earn as well?

The person lives with his wife and 2 kids. None of them earns.

The personal expenses can be divided as food, rent and utilities, education expenses of children, other miscellaneous expenses like medical and clothes. Is that fine?

Yes fine. Let's only focus on food, rent and education for now. Assume the rent is 2000, food expense is 5000, education expense is 1000 per kid and miscellaneous is 1000, all per month.

That sums up to INR 10000 per month of personal expense. That leaves him with a saving of INR12500 (50000-27500-10000) per month.

Good. What do you think, should we disburse the loan?

The person saves INR 150000 annually. For 10% simple annual interest rate in 5 years, the simple interest is INR 250000 (INR 500000 * 10% * 5). Assuming equal payment across 5 years, this amounts to collection of INR 150000 annually ((500000+250000)/5) which is same as annual savings of the family.

Since, we have not considered margin of safety yet, this seems a risky loan. We should not approve this application.

Well, you seem to be a risk averse person. What can we change so that we can approve the loans?

We can look at it from a person-specific and product perspective. For this person, we can increase the down payment amount, get collateral and include a guarantor. From a product perspective, we can look to change the terms like time horizon or come up with a new financial product altogether.

That's all. Thanks for the comprehensive analysis.

Commercial Vehicle Loan

Your client is a microfinance company. They are planning to initiate a new loan scheme for commercial vehicles. They need your help to design the approval mechanism for the new scheme.

Interviewee Notes

- Big Microfinance company with pan-India presence
- Expanding to Commercial Vehicles like mini-trucks loan segment

Case Facts

Company:

- Offers loans to SME and individual business which can be used for data analytics.

Customer:

- Individual clients against large-scale players: Design policy for individual customers

- Application Approval
  - Risks
    - **Credit History**
    - **Present Loans**
    - **Analytics**
  - Ability to Pay Back
    - Revenue
    - Total Expenses
      - Professional Expenses
        - **Fuel Expenses**
        - **Maintenance**
        - **Insurance**
        - **Labour**
      - Personal Expenses
        - **Rent & Utilities**
        - **Food**
        - **EMI Payments**
        - **Miscellaneous**

Header	Calculation
Transport Earnings	25/month * INR 2000 **= INR 50000**
(-) Professional Expenses	50km/day*INR 22/km* 25day/month **= Rs.27500**
(-) Personal Expenses	Rent = INR 2000 Food = INR 5000 Education = INR 2000 Others = INR 1000 **Total = INR 10000**
Savings	**INR12500**

Key Learnings

- Scoping the problem at the very start is the key on unconventional cases as this. Without defining the subject of analysis, it would have been very difficult to dig further.
- Quantitative cases are by their nature very particular. Double checking the exact calculation before speaking is very important. A small error is a major dampener. Best way to check is run the entire calculation through the interviewer briefly.
- Important to make assumptions on the fly both as an unconventional and a number-heavy case. Always a good idea to keep explicitly stating the assumptions and avoid a carry-forward effect of errors later.
- Interviewer always wants something particular out of these. Good to be in the discussion mode and present as many alternatives as possible and let them lead you. Being conservative and very particularly hypothesis-heavy might actually hurt.

Carbon Credit Fund Strategy – Interview Transcript

The client is a nature conservation organization looking to set up a fund to invest in carbon credit-generating projects in India. Please advise them on key factors to consider

Sure, sounds interesting. So, our client in a nature conservation organization looking to set up a carbon credit fund in India. Given their background, is it fair to assume that the fund would invest in projects focusing on environment conservation/ restoration?

Yes, the client aims to invest in such projects. They are focusing on forest-related projects in India.

Okay. Before I get into the elements of strategy to be kept in mind – I would like to clarify a few things. Firstly, what is the prevalence of such projects in India? Next, what is the expected fund size & type of investors? Finally, what is the primary objective of the fund – financial returns, environmental benefits, or social benefits?

All right. So, while there are several locations where such projects can be deployed, only a few projects currently operate that meet carbon credit issuing standards. The fund is envisioned to be $100M in size. There are no investors on board currently; some investors are interested but want the fund first to define its entire strategy first. In terms of objectives, the fund is looking to do well on all three parameters. What metrics should the client track to assess performance on all three?

Sure. In terms of financial performance – ROIC & NPV could serve as good metrics. Environmental benefits can be measured via # carbon credits generation, the area under conservation, # species protected, etc. Social benefits can be measured via # of people employed, community benefits, etc.
Also – is it fair to assume that the fund will develop new projects and not just invest in existing projects, given the paucity of viable projects?

Sounds good. While the fund's key focus is environmental benefits, the other two are equally important, partly due to different types of investors. Could you help us identify who these different types of investors could be, and would all three objectives be equally important to them?
And, yes, the fund is willing to invest in both external & self-managed projects.

I believe that in most cases all three types of benefits would have some value to investors who are looking to invest in the fund, however the priority of benefits may vary. Few investor types are:
1) Private financial institution – Usually financial benefits are the key priority
2) Corporates – Investment could be driven by financial motives, but in most cases social/ environmental benefits are more crucial. They may be looking to build a brand narrative.
3) Developmental financial institutes/ Government – Environmental or social benefits would be key; Financial benefits are required, but not the most important criteria (give grants)

This sounds fair. I think we have a decent understanding of fund's objectives & investors. Let's now move towards advising the client on key areas to look into.

Sure. Now that we have a basic understanding of the various objectives at hand & investor types. We should look into the following two areas:
1) Where to play: What would the key focus areas and project portfolio choices?
2) How to win: Focusing on fund structure, operating model, & capabilities required.
The above areas would broadly cover the fund's strategy areas. Does this sound fair?

Yes. This looks good. Let's start with Where to Play.

The client needs to define the type of project it would focus on. Key factors would be:
a) Geography within India to invest in; b) Focus area: forest conservation v/s restoration v/s management; c) Revenue model: carbon credit only or carbon credit along with sales of forest products; d) Project size; e) Mix between self-developed and 3rd party projects
Furthermore, client can evaluate currently running projects as investment opportunities.

Fair enough. The client has some assessment of the geographical area and is working toward defining the exact project type. These inputs would help for the same. Let's move onto the next section.

In terms of 'How to win', I would broadly classify the activities under the following buckets:
a) Deciding the fund structure: Number of investors, type of investors to onboard, ticket size, fund incorporation, and its terms & regulations
b) Operating model: Understanding the relationship between various internal fund stakeholders and setting up governance bodies.
Furthermore, it would also require understanding various partners/ parties involved at each stage of a project's life cycle, from origination to carbon credit verification to sales.
c) Capabilities: Identify critical capabilities required (technical expertise, project feasibility assessment, investor management team, etc.) and work towards building them in-house (technical facility) or via on-ground/ community partners.
Broadly, these are some key areas to look at. Do you want me to go into further detail?

This sounds comprehensive. The client has a few specific questions. Let's discuss those. Building on the fund structure, do you have any initial recommendations on the investor mix (by type)?

The exact investor mix would depend on several factors like investors available, funding ability, and investor objectives. If we have any more detailed information about the same, then I can work toward build a more granular recommendation. However, at a broader level, I would recommend having a mix between private financial institution and DFIs to balance financial and environmental objectives.

The broader suggestion works. We do not have any granular information at the moment. Could you finally help the client understand the various risks and challenges for such a fund?

Some of the key risks that the fund would face are:
1) Nascent India market for trade in carbon credit or green credits
2) Risk of projects being claimed to be encroaching on local community land
3) Lack of availability of funds/ projects to invest in India given the nascency of the industry
4) High uncertainty as returns highly dependent on carbon credit prices
5) Developing market and newer regulations could impact the flow of carbon credits
6) High risk of project failure in initial stages

Are there any potential steps that the client can pursue to reduce these risks upfront?

The client can undertake the following actions, to safeguard against some of the risks:
1) Set–up a comprehensive community benefit sharing program – both monetary and non-monetary- at the onset of any project
2) Look to set up corporate partnerships to secure steady demand for carbon credits
3) Set-up partnerships with on-ground project developers to secure access to upcoming projects
4) Encourage and pitch to the government to promote green credit & carbon credit program

Great. We can close the case now. Thank you for your time.

Carbon Credit Fund Strategy

The client is a nature conservation organization looking to set up a fund to invest in carbon credit-generating projects in India. Please advise them on key factors to consider.

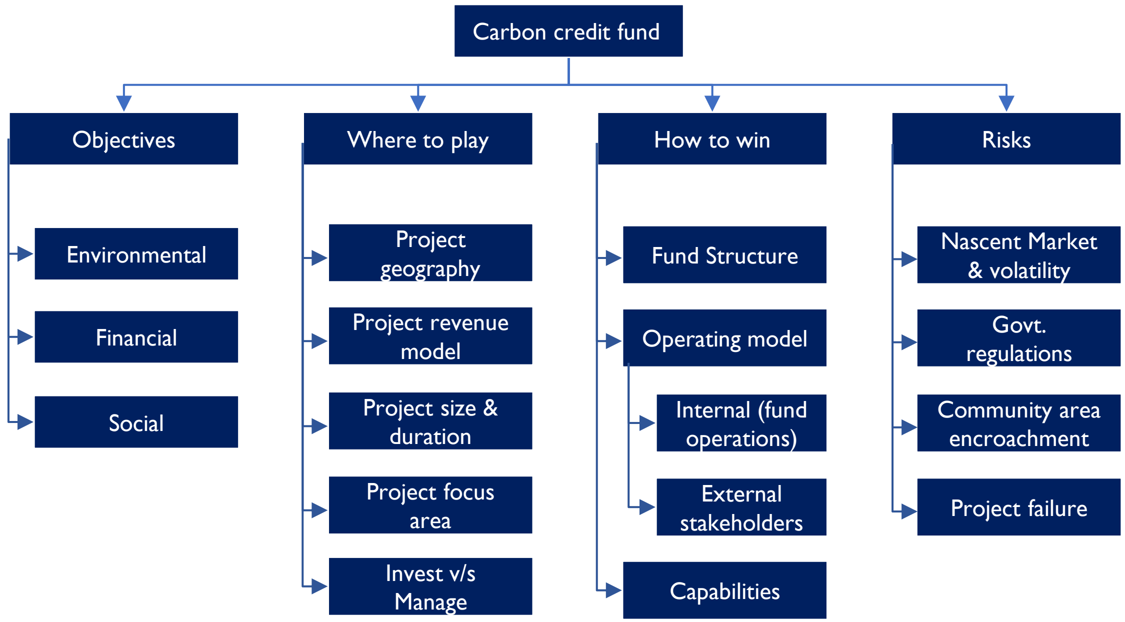
Interviewee Notes

- Enquire about the objective and focus areas before proceeding with the strategy
- Need to adopt a dual viewpoint: one looking at the fund and second looking at the projects
- As a fund, recognize that your core skillset may not be technical prowess; recognize the need for extensive 3rd party collaboration
- When evaluating risks, try to apply the PESTLE framework to narrow down on potential external risks

Case Facts

- Nature conservation organization based in India
- Fund to focus on investing in carbon-credit-generating projects in India
- Projects would look to focus on forest conservation and restoration and generate carbon credits via carbon emissions sequestered v/s baseline
- Fund size expected to be $100M; Investors not yet decided
- Focus on all three objectives given different types of investors; However, environmental is the core driver
- Fund will both invest in existing projects & manage new projects

Approach/ Framework



Key learnings

- The above structure provides an approach to tackle unconventional cases requiring discussing all strategy components. You start by defining objectives/ goals, then move to define the focus area (via research, interviews, and financial modeling), then decide your operating model & approach to win that market, and finally consider risks & develop a mitigation plan
- In such cases, it is always good to get an understanding of the exact activities of such funds before approaching the solution
- View the problem from the lens of multiple stakeholders related to the fund. In this case, investors were direct stakeholders, but community members were indirect stakeholders and very crucial for successful operations.
- The above interview did not discuss much on competition, given that the broader mandate was to highlight elements of strategy to consider. However, one can raise the same, especially when talking about 'Where to play' and 'Risks'
- Try to bring in insights that are relevant and current to the market

All the Best!

For any queries, feedback, and all things consulting, feel free to reach out to us:

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